

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 25-13

**AMERICAN IRON & METAL
COMPANY INC.,
COMPLAINANT,
v.
PRIVA LOGISTICS, INC.,
RESPONDENT.**

**PRIVA LOGISTICS, INC.'S INITIAL BRIEF IN
SUPPORT OF ITS CLAIMS AGAINST AMERICAN
IRON & METAL COMPANY, INC.**

AND

**PRIVA LOGISTICS, INC.'S OPPOSITION BRIEF TO
AMERICAN IRON & METAL COMPANY, INC.'S
INITIAL BRIEF**

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PRIVA LOGISTICS, INC.'S INITIAL BRIEF

I. INTRODUCTION

Priva Logistics, Inc. (“Priva”) respectfully submits this initial brief in support of its counterclaim against American Iron & Metal Company, Inc. (“AIM”), and in defense to the demands by AIM which do not recognize its unclean hands and in wrongful misdeclaration of goods had knock-on consequences causing this entire ordeal.

Priva is a U.S.-based non-vessel-operating common carrier (“NVOCC”) with FMC License Number 025540. It is a small, family-owned NVOCC which never had any claim before the FMC prior to this, nor ever sought relief against a shipper or carrier. Priva’s owner, Priyanka Dutta, is heavily involved in the business’s operation. Priva depends on its outstanding industry reputation among ocean carriers to ensure that its business is successful. AIM is a Canadian corporation engaged in the metal recycling business with operations around the globe who contracted with Priva for ocean transportation logistics facilitation of its cargo internationally.

Procedurally, this litigation was initiated by AIM. Factually, however, the underlying dispute has its genesis in AIM’s own violation of the Shipping Act of 1984, 46 U.S.C. §§ 40101 *et seq.*, (“Shipping Act” or “Act”), when it misdeclared cargo in violation of section 41102(a) and then refused to take responsibility for its unlawful conduct. Both the letter and intent of section 41102(a) are clear that the law is intended to protect intermediaries, like Priva, from “unscrupulous shippers”, like AIM, who misrepresent the nature of the cargo shipped to try and skate by, for financial cost savings advantage, and then seek to avoid liability for charges associated with the shipment. *Hohenberg Brothers Company v. Federal Maritime Commission*, 316 F.2d 381, 384 (D.C.Cir. 1963) (recognizing that when enacting § 41102(a)’s predecessor, “*Congress was concerned both with protection of carriers against unscrupulous shippers*, and of honest shippers against unscrupulous competitors, acting independently, or in collusion with a carrier.” (emphasis

added) (citing Hearing Before the House Committee on Merchant Marine and Fisheries on S. 3467, 74th Cong., 2d Sess., pp. 3, 10, 21; H.R.Rep. 2205, 74th Cong., 2d Sess., p. 2; H.R.Rep. 2598, 74th Cong., 2d Sess., p. 4)).

In 2021, AIM executed a Letter of Guarantee and Indemnity (“LOI”) to engage Priva for ocean transportation services. RX 13. As consideration for Priva’s services, AIM undertook certain obligations enumerated in the LOI, including that AIM would: (1) correctly declare the cargo shipped; (2) have its consignee immediately retrieve the cargo from the port of destination during free time; and (3) indemnify Priva and guarantee and pay for any and all loss, damage, or expense including, but not limited to demurrage, detention, storage, destination fees, port charges, collect surcharges, disposal fees, re-export charges, customs penalties, and related charges at the port of discharge caused by any delay or failure of the consignee to take delivery of the cargo within free time. *Id.* The LOI is the underpinnings to emphasize AIM’s duties with regards to Priva and the entire shipping community reliant on its description of the underlying goods it proffers to the shipping market for carriage. In this litigation AIM takes the curious position that the obligations outlined in the LOI do not apply to it. Rather, AIM contends that the LOI was executed by an unrelated company, American Iron & Metal USA Inc. (“AIM USA”), and is therefore not binding on AIM. The evidence shows, however, AIM and AIM USA were indistinguishable entities, with shared employees and offices, which for all relevant intents and purposes were conducting business with Priva. AIM makes a dangerous argument, with far-reaching industry implications, if recognized.

Turning to the particulars of the dispute, in January 2024, AIM requested that Priva generate two bookings, each for ten (10) containers, to be shipped from California to Port Klang West, Malaysia (the “Malaysia Shipments”). AIM declared the cargo within the containers as

“aluminum alloy” with the associated Harmonized System Code (“HS Code”). Priva generated two booking numbers for the shipments, NAM6677014 and NAM6677015, with the cargo description of aluminum alloy and HS Code as requested. Priva then arranged with ocean carrier CAM CGM to transport the Malaysia Shipments under these booking numbers. CMA CGM issued two booking confirmations, which included CMA CGM’s bill of lading clauses. The bill of lading clauses required the accurate declaration of cargo and noted serious penalties for misdeclaration.

The Malaysia Shipments were transported from California to Malaysia as scheduled. Prior to their arrival, Priva released the sea waybills for the Malaysia Shipments directly to AIM. When Priva transmitted the sea waybills, they were in the same form as was previously provided to AIM when originally generated.

AIM’s consignee for the containers under booking number NAM6677014, Neptune Metal Trading (“Neptune”), attempted to retrieve the containers from Port Klang West on March 31, 2024. The bill of lading presented by Neptune, however, did not match the waybill that Priva provided to AIM. Instead, the sea waybill contained an additional cargo description of “**aluminum scrap.**” This “scrap” reference by Neptune had major implications for AIM, and ultimately Priva that detrimentally relied on AIM’s misdeclaration representations. Malaysian Customs authorities placed a hold on the NAM6677014 containers due to the discrepancy and Neptune did not retrieve the contains. Over the next year plus, the containers remained idling at Port Klang West. Priva repeatedly asked AIM for status updates and information concerning why Neptune had not picked up the containers. AIM often failed to respond to these inquiries and, when AIM did reply, it provided cursory responses with little to no pertinent information. AIM never disclosed that its consignee Neptune had attempted to retrieve the cargo on March 31, 2024, much less that it had presented an altered bill of lading that prompted Malaysian Customs to hold the cargo.

In February 2025, CMA CGM issued an invoice for \$70,000 to Priva for “Misdeclaration or Non Compliance with BL Clauses” (the “Misdeclaration Invoice”). It has since been discovered that the cargo within the Malaysia Shipments’ containers was not “aluminum alloy” as declared by AIM. Rather, the cargo was “zorba,” a type of aluminum scrap metal. Aluminum scrap has its own unique HS Code and cargo description under the Harmonized System.

The evidence shows that AIM knowingly misrepresented the nature of the cargo when it requested the bookings from Priva for the Malaysia Shipments. At a minimum, the evidence requires a finding that AIM’s cargo misdeclaration was made with wanton, willful, and reckless disregard for the law and its obligations to accurately declare the cargo.

Thereafter, AIM did not disclose these facts to Priva despite Priva’s year-long persistence in following up with AIM to determine why the containers were not being picked up by Neptune. Nor did AIM take reasonable steps to investigate or determine why its consignee was not picking up the cargo. Whether AIM’s failures were intentional or the result of its own negligence, it consistently and systematically failed to provide Priva with accurate and complete information on what transpired with its consignee and the status of the shipment. Despite its wrongful actions, AIM has obtained ocean transportation of its property and reaps the benefits of the containers’ transportation while refusing to accept responsibility and make payment on the amounts owed.

AIM’s conduct put Priva in an untenable situation, which persists. Priva is left liable to CMA CGM for the \$70,000 Misdeclaration Invoice. Priva also expended unnecessary time and resources overseeing and managing the pending shipments for nearly a year before AIM’s false cargo classification was discovered. Priva has since expended resources attempting to rectify the issues caused by AIM’s conduct and continues to do so as the Malaysia Shipments are not yet complete. Priva has also suffered lost business and sustained injuries in the process. **Indeed, CMA**

CGM recently cancelled Priva's pending shipments to Malaysia and declined to accept additional bookings from Priva to the Malaysian market. Priva is not a large multinational company like AIM and its very existence is under direct threat as a result of AIM's misdeeds. This is why Priva did not settle this matter and retained trusted counsel to fight back. It is in a battle for its reputation and ability to do business with a trusted carrier, CMA CGM. Priva respectfully requests that an order be issued finding AIM liable to Priva for these injuries pursuant to 46 U.S.C. § 41305, and rejecting AIM's reparation claims in full in light of its wrongful conduct.

II. PRIVA'S PROPOSED FINDINGS OF FACT¹

1. Priva is a U.S.-based non-vessel-operating common carrier ("NVOCC") with FMC Organization and License Number 025540.
2. On or about May 27, 2021, a company called "American Iron & Metal USA Inc. ("AIM USA") into a Letter of Guarantee and Indemnity ("LOI") with Priva. RX 13.
3. The LOI was executed by Katherine Serrato on behalf of "American Iron & Metal USA Inc" ("AIM USA"). RX 13.
4. The LOI required that AIM: (1) correctly declare the cargo shipped; (2) have its consignee immediately retrieve the cargo from the port of destination during free time; and (3) indemnify Priva and guarantee and pay for any and all loss, damage, or expense including, but not limited to demurrage, detention, storage, destination fees, port charges, collect surcharges, disposal fees, re-export charges, customs penalties, and related charges at the port of discharge caused by any delay or failure of the consignee to take delivery of the cargo within free time. RX 13.

¹ When referenced elsewhere in this brief, Priva's Proposed Findings of Fact are cited as "RPFF". Similarly, reference herein to AIM's Proposed Findings of Fact are cited as "CPFF". Because this is a modest size case and record, Priva includes the PFF within its initial brief as opposed to a separate filing as counsel would traditionally do.

5. Katherine Serrato worked in AIM's headquarters in Montreal, Canada, with AIM's logistics department employees including AIM's Vice President of Logistics, Mr. Mark Hudson. CX 446 (Hudson Depo. p. 20:15-22); CX 459 (Hudson Depo. p. 70:21 – p. 72:9).
6. Katherine Serrato's email address was "kserrato@aim-global.com". RX 43.
7. On August 2, 2024, Priva was notified by AIM that "Katherine [Serrato] is no longer with AIM." RX 42.
8. Mr. Hudson testified that he had seen the LOI "[w]hen I reviewed the file. And this is some four and a half, five years ago, so maybe – yeah, maybe it – obviously it relates to when we first were introduced or we first heard the name Priva." CX 458-59 (Hudson Depo. p. 68:12 – p. 69:5); RX 13.
9. Based on the LOI, it seemed to Hudson that AIM's business relationship with Priva started somewhere around 2021. CX 459 (Hudson Depo. p. 69:2-5).
10. AIM and AIM USA share that nearly identical company logos, which "look[] the same" according to Mr. Hudson. CX 459 (Hudson Depo. p. 70:5-19); RX 13.
11. Mr. Hudson testified he did not know if AIM USA had its own website. CX 460 (Hudson Depo. p. 73:21-22).
12. "AIM Global" has several "divisions" or affiliated companies, including: (1) AIM Recycling; (2) AIM Kenny U-Pull; (3) AIM Eco-Center; (4) AIM Global Solder Solutions; (5) AIM Minesource; (6) AIM Delsan; and (7) Honeycomb. CX 448 (Hudson Depo. p. 28:9-12); CX 449 (Hudson Depo. p. 31:6-9); RX 52-53.
13. Priva has acted as intermediary in arranging bookings for the following AIM entities in the past: American Iron & Metal Co. Inc.; American Iron & Metal Cleveland LLC; American

Iron & Metal USA Inc.; AIM International LLC; AIM Recycling Hong Kong Co., Ltd.; and AIM Global. RX 2 (Dutta Declaration ¶ 7).

14. AIM Recycling was founded in 1936 and is “a division of American Iron & Metal (AIM) is a family-owned Canadian company that has become one of the world’s leading metal recyclers.” RX 45-68.
15. AIM Recycling has a location located at 785 East M. Street, Colton, California, 92324. RX 65; RX 44; CX 6 (signature block of Melinda Walker, employee of AIM Recycling).
16. Mr. Hudson testified that the cargo at issue in the Malaysia Shipments was purchased from AIM USA and loaded into the subject containers by “people in the yard at AIM USA,” which is located in Colton, California. CX 470 (Hudson Depo. p. 113:22 – p. 115:5).
17. AIM Recycling’s website is www.aim-recycling.com. RX 65, 68.
18. The email address domain names for all AIM employees that communicated with Priva concerning AIM’s shipments were “@aim-global.com” or “@aim-recycling.com.” *See e.g.*, CX 5-6; CX 16-17; CX 18-20.
19. Individuals with “@aim-recycling.com” email address domains would request shipment bookings on behalf of “AIM Montreal” and “AIM Canada”, including the Malaysia Shipments. CX 5-6; CX 16-17; CX 18-20; RX 42-44.
20. During his deposition as the corporate representative of AIM, Mr. Hudson was asked whether “someone who has an AIM Recycling email address” has “a different employer than someone with an AIM Global email address?” Mr. Hudson answered, “I couldn’t honestly tell you the answer to that question.” CX 450 (Hudson Depo. p. 33:1-7).
21. AIM and AIM USA are in the same general line of business. CX 451 (Hudson Depo. p. 38:12-16).

22. Based on its business dealings with AIM, AIM had “several companies” that would take bookings and remit payment to Priva on behalf of each other for Priva’s shipments. Priva understood AIM USA to be a subsidiary of AIM and that AIM USA and AIM “have joint operations, but it’s the same company.” Priva further understood AIM USA and AIM to be the same company because AIM has a “bunch of companies. But their operations are all, like, united, joined. They have many, very many companies and different subsidiaries.” CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).
23. Considering the nature of Priva’s business dealings with AIM’s various companies it was Priva’s belief that the LOI was intended to apply to AIM and its affiliated and/or related companies because their operations were united and joined. CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-3 (Dutta Declaration ¶¶ 3-9).
24. Because individuals with “@aim-global.com” and “@aim-recycling.com” email address domain names would frequently be included on emails between AIM and Priva, Priva believed that these individuals all worked for AIM. RX 1-3 (Dutta Declaration ¶¶ 3-9).
25. Based on the findings of fact above, AIM and AIM USA were indistinguishable entities that effectively operated as one company with regards to its business dealings with Priva, the LOI, and the Malaysia Shipments.
26. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4697) with GSM Supply Sdn. Bhd. (“GSM”) for sale of “**ZORBA 98-3**”, with a specification of “98% metallic and 3% reds” to be delivered to Port Klang West, Malaysia. CX 1 (emphasis added).

27. For reasons not detailed therein, the GSM sales contract provided that the Zorba material sold to GSM was instead to be described as “Aluminum Alloys” with an HS Code of “7601.20.0000” on the bill of lading. CX 1.
28. The GSM sales contract provided that the Zorba material sold to GSM was to be shipped to GSM as the consignee for the shipment in 10 containers. CX 1.
29. On or about January 26, 2024, AIM entered into a contract (contract no. 2401-4696) with Rising Streams Sdn. Bhd. (“Rising Streams”) for the sale of “**ZORBA**”, with a specification of “98% metallic and 3% reds” to be delivered to Port Klang West, Malaysia. CX 2 (emphasis added).
30. The Rising Streams sales contract also provided that the Zorba material sold to Rising Streams was instead described as “Aluminum Alloys” with an HS Code of “7410.22.0000” on the bill of lading, though no reason for this altered description was provided therein. CX 2.
31. The Rising Streams sales contract provided that the Zorba material sold to Rising Streams was to be shipped to Neptune Metal Trading (“Neptune”) as the consignee for the shipment in 10 containers. CX 2.
32. On January 26, 2024, AIM requested that Priva generate two bookings for the transportation of the Zorba material sold by AIM to GSM and Rising Streams, respectively, from Los Angeles, California, to Port Klang West, Malaysia. CX 5-6.
33. Nowhere on these instructions by AIM will the Presiding Officer find the word “ZORBA”; AIM instead instructed Priva to declare the Zorba material being shipped as “aluminum alloy” with an HS Code of 7601.2 on the bills of lading for each shipment and, in turn,

Priva provided AIM with booking confirmations for the two shipments under booking numbers NAM6677014 and NAM6677015. CX 4-12; CX 16-20.

34. Discovery revealed the packing list and invoice issued by AIM to its customer, Rising Streams, for booking number NAM6677014 describes the commodity sold and shipped as “ZORBA.” CX 21-22; CX 25-27.
35. Discovery further revealed the packing list and invoice issued by AIM to its customer, GSM, for booking number NAM6677015 describes the commodity sold and shipped as “ZORBA 98/3.” CX 23-24; CX 28-30.
36. During his deposition as corporate representative of AIM, Mr. Mark Hudson reviewed photographs of the cargo within the containers at issue as loaded. CX 470-71 (Hudson Depp. pp. 115-119); RX 14-33.
37. Mr. Hudson testified that the Zorba material sold by AIM to GSM and Rising Streams was a mixture of separate pieces of aluminum, brass, and/or copper. CX 471 (Hudson Depo., p. 118:1 – p. 119:5); *see also*, CX 529 (Hudson Declaration, ¶¶ 8-10).
38. The Zorba material sold by AIM to GSM and Rising Streams was “for remelting, so it would constitute an alloy when melted.” CX 471 (Hudson Depo., p. 119:12-13).
39. “Alloy” is defined as “a substance composed of two or more metals or of a metal and a nonmetal intimately united usually by being fused together and dissolving in each other when molten.” *Alloy*, merriam-webster.com, <https://www.merriam-webster.com/dictionary/alloy> (last visited May 26, 2026). 46 C.F.R. § 502.226.²

² Pursuant to 46 C.F.R. § 502.226, the Presiding Officer may take official notice of such matter as might be judicially noticed by the courts, or of technical or scientific facts within the knowledge of the Commission as an expert body.

40. The Zorba material sold by AIM to GSM and Rising Streams was not melted together at the time it was sold or shipped. Rather, the metal material sold by AIM was comprised of pieces of aluminum and “free pickable” pieces of copper and/or brass, which were separate and apart from the pieces of aluminum. CX 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33; CX 529 (Hudson Declaration, ¶¶ 8-10).
41. As it was not melted together, the impact is that the Zorba material sold by AIM was not metal alloy because it was comprised of separate, discrete pieces of aluminum, brass, and/or copper. CX 471, 477-478 (Hudson Depo. p. 118:1 – p. 119:22; p. 144:21 – p. 145:9); RX 14-33.
42. “Harmonized Code” means the coding provisions of the Harmonized System. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.
43. “Harmonized System” means the Harmonized Tariff Schedule of the United States, published by the U.S. International Trade Commission, and Schedule B, administered by the U.S. Census Bureau. 46 C.F.R. § 520.2; 46 C.F.R. § 502.226.
44. According to Mr. Hudson, HS Codes are “a designation of material” used when shipping materials. CX 456 (Hudson Depo. p. 58:5-10).
45. The HS Codes assign specific numeric codes for “aluminum alloys” (7601.20) and “aluminum waste and scrap” (7602). RX 69-79;³ 46 C.F.R. § 502.226; *see also* CX 479 (Hudson Depo. p. 149:14-19).

³ Although the Harmonized System’s HS Codes are within the general knowledge of the Commission as an expert body (*see* 46 C.F.R. § 520.2) and do not require production (46 C.F.R. § 502.226(b)), a copy of the relevant HS Codes are provided here the Presiding Officer’s ease of reference.

46. AIM's determination to assign a specific cargo description and HS Code for the materials it shipped was based on two considerations: "First of all, the request of the customer, and secondly, our assessment that it fell within the category, satisfactory request fell within the category." CX 478 (Hudson Depo. p. 147:15 – p. 148:2).
47. Mr. Hudson testified that AIM's operations personnel are trained on cargo classification under the HS Codes and conduct AIM's secondary assessment of the customer's request. If AIM is unsure about the proper cargo classification, its policy was to consult the "HS codes bible, handbook, whatever and make sure that it was correct." AIM also does a visual inspection and takes photographs of the cargo it ships as part of this process. CX 456 (Hudson Depo. p. 60:5 – p. 61:21).
48. With regards to the Malaysia Shipments, however, AIM did not follow its own policies and instead relied solely on the representations of its customer, Rising Streams, to AIM's sales team when selecting the cargo description and HS Code for the NAM6677014 containers and took no other actions to verify that classification was correct. AIM's sales team is not trained on the HS Codes. CX 480-481 (Hudson Depo. p. 156:1 – p. 157:2) (discussing Hudson Depo. Exhibit 9 (RX 80-82)).
49. On or about February 23, 2024, CMA CGM issued two sea waybills for the Malaysia Shipments under bill of lading numbers NAM6677014 and NAM6677015, each covering ten (10) containers. CX 31-38.
50. Both sea waybills contained cargo descriptions of "Aluminum Alloys" (on sea waybill NAM6677015) or "Aluminum Alloy" (on sea waybill NAM6677014) with the HS Code of 7602.20. CX 31-38.

51. The booking confirmations for the Malaysia Shipments sent to AIM on January 29, 2024, contain applicable bill of lading clauses governing the shipments. *See* CX 9 (NAM6677014) and CX 12 (NAM6677015).
52. Bill of lading clause 6 found on both booking confirmations reads, in pertinent part, “The Shipper warrants to the Carrier that the particulars relating to the Goods as set out overleaf have been checked on receipt of this Bill of Lading and that such particulars, and any other particulars furnished by or on behalf of the Shipper, are adequate and correct. ...in case of any failure of the Shipper to comply with the above, the Carrier shall be entitled to charge the Shipper, or any party which is jointly liable with the Shipper, at any time an amount of USD 2,000 as processing and operational fees in addition to a penalty of...5,000 per non dangerous container misdeclared.” CX 9, 12.
53. Bill of lading clause 366 found on both booking confirmations reads, in pertinent part, “366. The Merchant warrants that the particulars relating to the Goods have been checked and that such particulars are adequate and correct.” CX 9, 12.
54. The sea waybills issued by CMA CGM for the Malaysia Shipments also expressly incorporate bill of lading clause number 366. CX 34, 38.
55. Failure to comply with bill of lading clause 366 can result in the assessment of fees and penalties by CMA CGM. *See* CX 9, 12, 34, & 38.
56. On or about February 23, 2024, the Malaysia Shipments arrived in Port Klang West, Malaysia. CX 54 (“Call Date: 23 FEB 2024”).
57. On April 26, 2024, Priva notified AIM that CMA CGM was inquiring with Priva as to why the containers under NAM6677014 had not been picked up from Port Klang West by AIM’s consignee. CX 49-50.

58. On May 1, 2024, Priva again followed up with AIM on the status of the containers under NAM6677014 and NAM6677015, which were still idling at Port Klang West. CX 48.
59. On May 2, 2024, AIM informed Priva that its consignee advised the delay was due to a Malaysian Customs hold for inspection. CX 47.
60. On May 13, 2024, Priva received a letter from CMA CGM “Re: Pre-Abandonment Notice for Idle Cargo” (the “Pre-Abandonment Notice”) CX 39.
61. The Pre-Abandonment Notice stated that the containers under bill of lading NAM6677014 remained uncollected at Port Klang West. CMA CGM advised that the failure to resolve the issue has resulted in demurrage charges, which continued to accrue. CMA CGM further requested that the containers be picked up by May 15, 2024, failing which the containers would be considered abandoned and, thereafter, CMA CGM would commence salvage of the goods to “satisfy any and all costs associated with this matter.” The Pre-Abandonment Notice further stated that Priva would “be held liable for any costs in excess of those covered by salvage or resulting from the disposal of the goods.” CX 39.
62. On May 13, 2024, Priva provided the Pre-Abandonment Notice to AIM and requested that AIM “respond in writing by MAY 15, 2024 concerning the resolution of this issue.” CX 47.
63. The NAM6677014 containers were not picked up before May 15, 2024, and AIM did not provide written explanation concerning the resolution of the issue prior thereto. *See* CX 46-47.
64. On May 16, 2024, CMA CGM sent a letter “Re: Abandoned Cargo – Notification of Final Lien” to Priva and AIM (the “Final Lien Letter”). CX 40.

65. The Final Lien Letter stated that the NAM6677014 containers remained idle at Port Klang West and, as such, CMA CGM considered the cargo abandoned. The Final Lien Letter further stated that Priva would be held liable for all amounts related to the costs associated with CMA CGM's disposal efforts. CX 40.
66. On May 16, 2024, Priva provided the Final Lien Letter to AIM. CX 46.
67. Later that same day, Priva's Priyanka Dutta emailed AIM emphasizing the seriousness of the situation, noting that AIM had been provided with multiple reminders to pick up the cargo, had failed to provide any concrete responses, and requesting that AIM "kindly get back to me asap on this." CX 46.
68. On May 22, 2024, Priva again asked AIM for an update on the NAM6677014 containers. CX 45.
69. On May 23, 2024, Priva requested that AIM "please advise clearance update for this booking." CX 45.
70. On May 23, 2024, AIM responded without any additional information: "We are pushing to get confirmation on this shipment hoping to have more information by tomorrow." CX 45.
71. On June 12, 2024, Priva again asked for an update on the NAM6677014 shipment. CX 44.
72. Later that day, AIM responded that its "sales rep is working with our customer at destination But he has advised that the delay is due to customs not the customer." CX 44.
73. On July 18, 2024, Priva again asked AIM for an update. CX 44.
74. AIM employee Daniel Chen (AIM Recycling Hong Kong) provided the following update concerning both the NAM6677014 and NAM6677015 shipments on July 19, 2024: "Due to the long wait and slow releasing process, Rising Streams is trying to divert this BL to Singapore, buyer's agent is working on this and we don't have to do anything. Buyer will

bear all the cost involved. For another shipment belongs to GSM, they are still trying to wait for the release, they said the containers could be picked up soon, but no exact date yet. This buyer guarantees that he will bear all cost as well.” CX 43.

75. On July 31, 2024, Priva forwarded a message from CMA CGM “service delivery”, which requested information about the status of the NAM6677014 containers still idling at Port Klang West. CX 42-43.
76. On August 1, 2024, AIM employee Daniel Chen reported that there was a customs hold on the containers and that Malaysian Customs was processing container inspections slowly. Mr. Chen further stated that “Buyers said they may need another 2 weeks to have the inspection done.” CX 42.
77. On August 6 and 12, 2024, Priva asked AIM for an update as the Malaysia Shipments remained uncleared at Port Klang West. CX 100-102.
78. On August 12, 2024, AIM replied to these emails and asked for confirmation that the freight charges had been paid to CMA CGM, but did not provide an update on the status of the containers’ retrieval from the port. CX 100.
79. On August 13, 2024, Priva confirmed that the freight had been paid to CMA CGM, that there was no freight hold on the containers, and that the containers had been released to AIM. Priva again requested an update on the containers’ clearance at the destination. CX 99.
80. On August 14, 2024, AIM reported that the containers would be inspected tomorrow [August 15, 2024] and requested documentation of the freight payment to CMA CGM. CX 99.
81. Priva provided the invoice showing freight payment to CMA CGM later that day. CX 98.

82. On August 20, 2024, Priva relayed an email from CMA CGM to AIM, which included details of pending charges on the NAM6677014 containers. CX 97.
83. On August 21, 2024, Priva again requested that AIM's consignee, Neptune, promptly address the charges pending on the NAM6677014 containers and pick up the cargo. CX 96.
84. On September 3 and 5, 2024, Priva asked AIM for updates on the idling containers at the urging of CMA CGM. CX 94-95.
85. On September 6, 2024, Mr. Chen, on behalf of AIM, responded: "I have talked to the buyer again today. He said the only thing he knows is that the Port Klang Customs is releasing containers in a very slowly process, since there are hundreds of containers stuck there for inspection due to some e-waste material problem, he cannot promise when the containers will be picked up exactly unfortunately." CX 93.
86. On September 10 and 12, 2024, Priva again asked AIM for a status update because Priva was "getting multiple emails from idle cargo and CMA CGM USA." CX 92-93.
87. On September 13, 2024, AIM responded through its employee, Mr. Chen: "We heard that some of our containers have been inspected by Klang Customs and now waiting for greenlight to pick up, including NAM6677015.... Rest of containers include this NAM6677014 are still queuing in line for inspection." CX 92.
88. On September 23, 2024, Priva forwarded a message received from CMA CGM Idle service delivery, which read: "Please confirm is it u [sic.] until today containers still under customs hold? Kindly advise latest update for below container. Idle is more than 100 days." CX 90-91.

89. On October 2, 2024, Priva asked AIM for an update on the NAM6677014 containers, which were “still uncollected at terminal.” CX 88-89.
90. On October 30, 2024, after receiving no response from AIM, Priva emailed AIM stating: “Any update for the below case? Checking, container still not pull out from terminal. Please advise status for below container.” CX 86-88.
91. AIM responded to Priva on October 31, 2024, with the following: “There are still no updates yet. Rumour had it that the inspection by Malaysia Customs will be done before middle Dec. The containers are held by Malaysia government, neither the shipper, nor consignee are allowed to move the material, even if re-exporting is not allowed. It seems that the shipping line also can do nothing about this situation. All the containers on this CMA vessel has to go under strictly inspection with exact reason unknown.” CX 85-86.
92. On December 4, 2024, Priva followed up with AIM on the status of the Malaysia Shipments. Priva’s email stated: “Please advise on the below. Any update? containers still uncollected at terminal. please advise your reason and estimate to MT return.” CX 85.
93. Emails from CMA CGM to AIM’s consignee Neptune and Priva beginning on July 31, 2024, and running through December 17, 2024, show that Neptune was unresponsive to CMA CGM’s requests for updates. RX 94-106.
94. These same emails show that Priva provided responses to CMA CGM’s requests for information and updates related to the NAM6677014 containers that were idle in Port Klang West. RX 94-106.
95. On January 13, 2025, Priva again asked for AIM to “advise latest status for below containers. Please advise your reason and estimate to MT return.” CX 85.

96. CMA CGM issued Invoice Number NAEC0163666 (the “Misdeclaration Invoice”), dated February 25, 2025, to Priva. The Misdeclaration Invoice contained a total amount due of \$70,000 for the ten (10) containers shipped under booking/bill of lading number NAM6677014. The charge description on the Misdeclaration Invoice reads: “Misdeclaration or Non Compliance with BL Clauses.” CX 54.
97. On March 21, 2025, at 14:17 hours, Priva emailed CMA CGM after having received the Misdeclaration Invoice. Priva disputed the Misdeclaration Invoice and requested waiver of the charges, to wit:

Hello IDLE and Claims,

URGENT ATTENTION REQUIRED

We have received the attached invoice NAEC0163666, totalling USD 70,000 which we dispute as being unjustified. Priva will not assume responsibility for these charges, as they should be billed to the Malaysian customs or the consignee.

We have consistently advised that the containers’ idle status at the port is due to a customs hold.

The containers have been held by Klang Customs since April due to changes in Malaysian customs policy. Their inspection and clearing process is extremely slow, with 500-700 containers still awaiting inspection.

According to our client, the Malaysian government is holding the containers, neither the shipper nor the consignee is permitted to move the cargo, and re-exporting is not allowed.

The client has also stated that the shipping line cannot intervene in this situation. All containers on this CMA vessel are subject to strict inspection, with the exact reason unknown.

I have kept you updated on this matter through my previous correspondence. kindly request that you review our email exchange regarding this matter.

We kindly request that you waive these charges from our account, given the prolonged Malaysian customs inspection.

@Geoffrey, please assist in escalating this matter to the relevant department to expedite resolution.

RX 93-94.

98. On March 21, 2025, at 14:29 hours, Priva emailed AIM the following message with the Misdeclaration Invoice attached:

Hi Daniel & Team,

URGENT ATTENTION REQUIRED

We have received attached misdeclaration invoice from CMA of USD 70,000.

Despite our repeated follow-ups, the containers have remained idle at the port, with your response indicating that they are under inspection.

Although it is the consignee's responsibility to clear the cargo at destination and take necessary actions, IDLE team has been unable to establish contact with the consignee.

We have also informed you that idle charges may be transferred to the POL if consignee contact is not established.

We kindly request that you settle the payment by next week at the latest and arrange for prompt cargo clearance to prevent further accrual of charges.

CX 84-85.

99. Later that day, Priva emailed AIM again, emphasizing the urgency of the situation and the possible injuries to Priva if the issues go unresolved:

As this is an urgent matter, please provide a written confirmation that a local CMA representative in Malaysia is required to assist in resolving the situation as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year. We need your attention to resolve this matter, as CMA is threatening to block our account until the outstanding payment of \$70,000 is settled.

CX 84.

100. On March 24, 2025, Priva forwarded an email received from CMA CGM explaining that “the containers were held by customs due to misdeclared cargo, and despite their efforts, they were unable to contact the consignee.” Priva also requested that AIM provide “supporting documentation, including cargo descriptions, loading photos, and cargo value to prove your claim that the commodity was correctly declared as aluminum scrap” and “a written confirmation on your company's letterhead stating that a local CMA representative in Malaysia is required to assist in resolving the matter, given the lack of assistance at the destination as well as a detailed explanation for the current situation and the reasons behind the cargo being idle at the destination for the past year.” CX 83-84.

101. Meanwhile, Priva continued to escalate its dispute of the Misdeclaration Invoice with CMA CGM, as shown in email exchanges dated March 21, 2025, through March 25, 2025. RX 83-94.
102. On March 25, 2025, CMA CGM explained that the bill of lading originally issued by CMA CGM contained a cargo description of “Aluminum Alloy.” The bill of lading presented by AIM’s consignee Neptune, however, contained an additional cargo description of “Aluminum Scrap.” CMA CGM further explained that the containers had been held by Malaysian Customs based on the discrepancy between the two bills of lading. CMA CGM asked for an explanation of why the consignee’s bill of lading was not the same as the bill of lading originally issued. RX 83-86.
103. AIM chose not provide the requested information or materials requested to Priva or CMA CGM. Accordingly, on March 25, 2025, Priva informed AIM that CMA reported that the consignee’s bill of lading contained a cargo description of “Aluminum Scrap”, which differed from Priva’s records. Priva asked AIM to investigate with its consignee “to determine what documents they submitted at destination that led to this discrepancy in the cargo description.” Priva also notified AIM that it would copy AIM on any future correspondence with CMA CGM. A copy of the email from CMA CGM, which contained pictures of the original sea waybill and the sea waybill presented by the consignee, explaining the discrepancy was also provided to AIM at this time. CX 80-82.
104. On March 28, 2025, AIM emailed CMA CGM to dispute the Misdeclaration Invoice with Priva in copy. CX 126-127.
105. On March 31, 2025, CMA CGM responded to AIM, explaining further that the discrepancy between the original bill of lading and the bill of lading presented by AIM’s consignee

Neptune “caused this cargo to be held held [sic.] by Malaysian Royal Customs” and, as such, the Misdeclaration Invoice remained valid. CX 124-126.

106. CMA CGM’s March 31, 2025, email also provided a screenshot of an internal CMA CGM email discussing the issue. The internal email shows that CMA CGM’s head office (“HO”) reviewed the dispute and determined that the shipper should be charged \$7,000 per container for the cargo misdeclaration pursuant to bill of lading clause 366 and CMA CGM’s finding that the discrepancy in the bill of lading presented by AIM’s consignee Neptune resulting in the containers being held by Malaysian Royal Customs since *March 31, 2024*. CX 124-125 (emphasis added).
107. On April 2, 2025, at 10:00 hours, Priva emailed AIM requesting a clear understanding of what exactly transpired and the intentions of AIM’s consignee Neptune regarding the containers. Priva’s email indicates that it was seeking this information so that it could help guide the discussions with CMA CGM to quickly resolve the dispute. AIM responded shortly thereafter. RX 108-109.
108. Later that morning, at 10:41 hours, Priva responded to AIM, recognizing that AIM had already begun dispute discussions directly with CMA CGM. Priva stated that it would let AIM take the lead on these discussions with CMA CGM, but remained willing and able to support AIM’s efforts in any way possible, including offering to “brainstorm” with AIM on “how to best handle the situation.” Priva also requested that AIM provide any information available concerning Neptune’s discussions or correspondence with Malaysian Customs and/or CMA CGM’s Malaysian office. RX 107.

109. At 11:37 hours on April 2, 2025, AIM responded to Priva's email, by making a wild and unsubstantiated claim that Priva was not forthright with AIM and that it should "stop questioning HS codes", is if the issue would just go away, stating:

Priyanka,

You didn't tell us the truth since the beginning: CMA Malaysia billed originally the 70K to consignee, and it is only because they can not find the consignee contact information on BL then they billed back to forwarder: if you checked consignee BL CMA provided, they created [sic.] the consignee phone and email info.

This is a simple issue with a very straightforward solution: tell CMA to show you the proof that they could not reach out consignee, or we are able to provide valid consignee contact for them to send the invoice.

Please, stop questioning HS codes, that is the judgement of Malaysia custom should make.

And CMA should never issue BL with 2 conflicting HS Code on one BL.

Again, go back to CMA.

Also, stop harassing our consignees by sending more emails directly to them.

RX 110-111.

110. At 11:55 hours on April 2, 2025, Priva responded to AIM's email. Therein Priva reiterates that it needed all of the relevant information from AIM's consignee Neptune in order to help dispute the Misdeclaration Invoice. Priva states: "Without proper reasoning and facts, I cannot address this matter with CMA, which will mean that the charges will stay valid for AIM to pay Priva. If you want me to help AIM in this case, then I will need proper facts from the consignee so we both have something concrete to present to CMA and demand resolution." Priva further emphasized that it was AIM's responsibility to consult with its consignee to obtain the facts needed to dispute the charge. RX 110.

111. On the afternoon of April 2, 2025, CMA responded to AIM's additional inquiries, with the following explanation:

The 'Misdeclaration or Non-Compliance with BL Clauses' charge applies to cargo that does not meet shipping requirements, resulting in an incident requiring CMA resolution. The cargo is currently held by Royal Customs in Malaysia due to incorrect cargo declaration. The Bill of Lading from CMA CGM described the

cargo as '*aluminium alloy*', while the Bill of Lading from the Consignee described it as '*aluminium scrap*'. For any additional questions regarding the Bill of Lading at the destination, please contact the CMA CGM Malaysia offices. They will be able to provide further assistance with this documentation.

To ensure the immediate release of your cargo at its destination, please confirm payment as soon as it has been made.

Please note that the charge has been reviewed and confirmed as valid by our Head Office, which has the final authority on this matter. Therefore, we cannot remove, modify, offer waivers, or apply discounts to any valid charges.

CX 131 (emphasis original).

112. Mr. Hudson testified that he “couldn’t tell you specifically” whether or not AIM ever asked Neptune if it had requested that CMA CGM alter or amend bill of lading number 6677014. CX 482 (Hudson Depo. p. 162:17 – p. 163:1).
113. When CMA CGM informed Priva and AIM that the cargo hold and Misdeclaration Invoice was based on Neptune’s presentation of an incorrect bill of lading, Priva generated Invoice Number 20040 (the “Priva Invoice”). The Priva Invoice included \$70,000 for the charges within the Misdeclaration Invoice and a \$30,000 charge labeled as “Misdeclaration Penalty.” CX 55.
114. Priyanka Dutta testified that the \$30,000 charge represented “internal administrative charges” that were based on the “significant hours, manpower, resources...for administration, for operations, for accounting, managerial hours, executive hours, to deal with this fallout...due to AIM’s misdeclaration, and their failure to clear the cargo.” Ms. Dutta further explained that the charges were related to Priva’s administrative expenses for the approximately one year’s worth of work, involving hundreds of hours, it performed in direct relation to and as a result of AIM’s failures. CX 370-371 (P. Dutta Depo. p. 91:22 – p. 95:23).

115. Neither the Misdeclaration Invoice nor the Priva Invoice have been paid by AIM. RX 2 (Dutta Declaration, ¶ 10).
116. AIM never offered to pay the amounts due under the Misdeclaration Invoice prior to the parties retaining counsel in this matter. CX 484 (Hudson Dep. p. 169:17 – p. 170:3).
117. The Misdeclaration Invoice remains valid, in effect, and enforceable against Priva according to CMA CGM. RX 34-41.
118. On June 26, 2025, Priva notified AIM that on June 30, 2025, Priva would begin assessing a \$35/per day/per container in damages for Priva’s ongoing administrative expenses on the Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 12).
119. Like the administrative charge in the Priva Invoice, the \$35 fee is based on Priva’s ongoing expenditure of internal manhours and operating expenses for the continued communications, management, and oversight directly related to the Malaysia Shipment containers idling in Port Klang West. CX 389 (Dutta Depo. p. 165:5-24); RX 2 (Dutta Declaration, ¶ 13).
120. As of June 2, 2026, 337 days have elapsed since June 30, 2025, resulting in a total amount of \$235,900 owed to Priva for the 20 Malaysia Shipment containers. RX 2 (Dutta Declaration, ¶ 13).
121. In addition to the amounts owed for the Misdeclaration Invoice, Priva faces potential demurrage, detention, and other charges on the NAM6677014 and NAM6677015 containers, which have not yet been assessed by CMA CGM. RX 34-41.
122. Based on estimates provided by CMA CGM to Priva, the total demurrage potentially owed on the Malaysia Shipments total over \$1.1 million as of November 19, 2025. RX 38.

123. CMA CGM has confirmed that the cargo within the Malaysia Shipments was found to be “Aluminum Flakes / Scraps” and that the cargo was “found to be non-compliant with the Basel Convention.” RX 40.

124. On April 30, 2026, CMA CGM emailed Priva an alarming message concerning its ability to do business with a valued ocean carrier business associate:

Hello Priyanka,

I would like to inform you there has been a change in CMA CGM policy regarding shipments to Malaysia that will have an impact on Priva Logistics.

In an abundance of caution, to avoid any issues with customs or long dwelling containers, we are no longer allowing exports from the US to Malaysia for shippers who have had a misdeclaration of goods, regardless of declared commodity. We understand this is not a restriction levied by the Malaysian government, and that this is a measure we are taking to protect CMA CGM from liability.

We will need to expire out any Q2 rates to Malaysia from your contracts effective immediately.

We understand there are some shipments that are currently in the process of being backed out. Please forward any cases you are receiving to us for review. Thank you for your understanding.

RX 1-4 (Dutta Declaration, ¶ 15 & Ex. A).

125. A sizeable portion of Priva’s business, by volume and revenue, is based on shipments from the U.S. to Malaysia. Based on Priva’s projections, it expected to ship approximately 1,200 TEUs to Malaysia in 2026. RX 2 (Dutta Declaration, ¶ 16).

126. CMA CGM’s decision to no longer accept Malaysia bookings from Priva will significantly impact Priva’s projected volumes and ability to serve its clients for the remainder of 2026 and thereafter. RX 2 (Dutta Declaration, ¶¶ 16-17, 21).

127. Now that CMA CGM has cancelled pending shipments and will no longer take any new export shipment bookings to Malaysia from Priva, Priva stands to lose significant revenues. RX 2 (Dutta Declaration, ¶¶ 18, 21).
128. Priva has sustained significant business and reputational harms as a result of AIM's misconduct, as evidenced by CMA CGM's decision to no longer accept Malaysian export bookings from Priva. RX 2 (Dutta Declaration, ¶¶ 19, 21).
129. AIM has no idea how much time Priva spent working to resolve and address the issues surrounding the Misdeclaration Invoice. CX 484 (Hudson Depo. p. 169:8-12).

III. LAW AND ARGUMENT

A. Priva's Burden of Proof

Priva's burden of proof is to show by a preponderance of the evidence that AIM violated §41102(a) of the Shipping Act. 5 U.S.C. § 556(d); 46 C.F.R. § 502.203; *Maher Terminals, LLC v. Port Auth. of N.Y. & N.J.*, FMC Dkt. No. 08-03, 2014 WL 9966245, at *14 (FMC Dec. 17, 2014). The preponderance standard requires a showing that it is more likely than not that a violation of the Act occurred. *Crocus Investments, LLC v. Marine Transport Logistics*, FMC Dkt. No. 15-04, 2021 WL 3732849, at *3 (FMC Aug. 18, 2021). "It is appropriate to draw inference from certain facts when direct evidence is not available, and circumstantial evidence alone may be sufficient; however, such findings may not be drawn from mere speculation." *Waterman Steamship Corp. v. General Foundries, Inc.*, FMC Dkt. No. 93-15, 26 S.R.R. 1173, 1180 (ALJ Dec. 9, 1993), adopted in relevant part, 26 S.R.R. 1424, 1994 WL 279898 (FMC June 13, 1994)). Priva demonstrates that its burden of proof is satisfied below.

B. AIM Violated 46 U.S.C. § 41102(a)

Priva filed a one-count counterclaim allegation that AIM violated 46 U.S.C. § 41102(a). See counterclaim dated July 23, 2025 (Dkt. Entry 8). The evidence confirms that by AIM's

knowingly and willfully providing a false cargo classification for the Malaysia Shipments, Prima suffered damages because of the assessment of the Misdeclaration Invoice and AIM's seeking to evade responsibility for the charges, despite having obtained transportation of the shipments to Malaysia. Section 41102(a) provides:

(a) Obtaining Transportation at Less Than Applicable Rates. – A person may not knowingly and willfully, directly or indirectly, by means of false classification, false weighing, false report of weight, false measurement, or any other unjust or unfair device or means, obtain or attempt to obtain ocean transportation for property at less than the rates or charges that would otherwise apply.

46 U.S.C. § 41102(a). Three elements are necessary to prove a § 41102(a) claim: “(1) knowing and willful conduct; (2) through which, either ‘directly or indirectly,’ by means of the actions enumerated in the statute or through ‘any other unjust or unfair device or means;’ and (3) respondent obtained or attempted to obtain ocean transportation at lesser rates.” *Muhammad Rana v. Michelle Franklin, D.B.A. “The Right Move”*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision), at 13 (quoting 46 U.S.C. § 41102(a)).

Section 41102(a)'s prohibitions are not limited to “regulated entities” like common carriers. *Id.* at fn. 9 (citing *OC Int’l Freight, Inc., et al.*, FMC Dkt. No. 12-01, 2014 FMC LEXIS 14, at *18-19 (FMC July 31, 2014)). Rather, section 41102(a) was enacted to protect both shippers against unscrupulous competitors, acting independently, or in collusion with a carrier, and carriers from unscrupulous shippers. *Hohenberg Brothers Company v. Federal Maritime Commission*, 316 F.2d 381, 384 (D.C.Cir. 1963). Section 41102(a) further applies not only to “rates,” but also “charges” like the Misdeclaration Invoice at issue here. *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited v. Samsung Electronics Company, Ltd.*, FMC Dkt. No. 24-17 (FMC July 30, 2025) (Order Affirming Dismissal of Counterclaim) at 19.

The first knowing and willful conduct element is established where “the respondent had ‘knowledge of the facts of the violation’ and acted either intentionally or with ‘reckless disregard, plain indifference, or purposeful or obstinate behavior akin to gross negligence.’” *Rana*, FMC Dkt. No. 19-03, at 13 (quoting *Rose Int’l, Inc. v. Overseas Moving Network, Int’l*, FMC Dkt. No. 96-05, 2001 FMC LEXIS 39, at *118, *147 (FMC June 1, 2001)). “Conduct is knowing and willful if it was carried out ‘purposely or obstinately’ or with ‘gross recklessness, heedlessness, or a callous disregard’ for the consequences *or* ‘plain indifference to the law’s requirements.’” *Id.* at 13-14 (citing *Brokerage on Shipments of Ocean Freight – Max LePack*, 5 F.M.B. 435, 444 (FMB 1958); *Portman Square Ltd. – Possible Violations of Section 10(a)(1) of the Shipping Act of 1984*, FMC Dkt. No. 97-17, 1998 FMC LEXIS 27, at *21-22 (ALJ Mar. 16, 1998) (Admin. final 1998)).

The second element is satisfied where the respondent provided “false” information related to the cargo or used any other unjust device or means to obtain or attempt to obtain the transportation at issue. *Id.* at 14. “Unjust device or means” requires a showing of fraud or concealment on the part of the respondent. *Id.* “Knowingly making claims that one knows or should know are false supplies the required element of fraud or concealment. *Id.* (citing *U.S. v. Open Bulk Containers, et al.*, 727 F.2d 1061, 1065 (11th Cir. 1984)).

Element three is established by showing respondent obtained or tried to obtain ocean transportation for less than otherwise applicable rates or charges. *Id.* at 15 (citing *OC Int’l Freight, Inc., et al.*, FMC Dkt. No. 12-01, 2014 FMC LEXIS 14, at *17-18 (FMC July 31, 2014)).

C. AIM’s Conduct Satisfies All Three Elements Required Under Section 41102(a)

1. AIM’s Knowing and Willful Conduct

As the ultimate shipper for the Malaysia Shipments, AIM was responsible for correctly identifying the cargo to its carrier, Priva. AIM did not.

The duty to correctly declare cargo is embodied in the plain language of section 41102(a). Moreover, AIM was well-aware of this duty, as it was expressly stated in the LOI⁴ and the booking confirmations and bills for the Malaysia Shipments. RPFF 2, 48-51. This is why AIM is so desperate to distance itself from the LOI and the consequences that naturally flow from it. When requesting booking number NAM6677014 and NAM6677015, AIM instructed Priva to describe the cargo as “aluminum alloy” with an HS Code of 7601.2. RPFF 32-33.

“Alloy” is defined as “a substance composed of two or more metals or of a metal and a nonmetal intimately united usually by being fused together and dissolving in each other when molten.” RPFF 39. This defining characteristic of alloy – that it is comprised of two or more metals fused together and dissolved in each other – was confirmed by Mr. Hudson in regards to the Malaysia Shipments specifically, who testified that the cargo was “for remelting, so it would constitute an alloy when melted.” RPFF 38. Indeed, by Mr. Hudson’s own admission, the cargo within containers was not alloys because it would only “constitute an alloy when melted.” RPFF 38. Upon examining the loading pictures of the containers, Mr. Hudson confirmed that the metal mixture therein was comprised of separate pieces of aluminum, brass, and/or copper. RPFF 36-37. The pieces of copper and brass are called “free pickables” and are discrete pieces of non-aluminum metals within the mixture. RPFF 40.

⁴ Although the Shipping Act does not confer the FMC with jurisdiction over breach of contract claims, AIM’s conduct, which constitutes violations of section 41102(a), was also contrary to the terms of the LOI that required the correct declaration of cargo. In *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, 28 S.R.R. 1635, 1644 (FMC 2000), the Commission found that: “a number of prohibited acts enumerated in section 10 hinge primarily on elements and factors beyond those issues which overlap with a breach of contract allegation. There may, for example, be claims...within the meaning of the Shipping Act, which are distinctly within the sphere of expertise Congress expected the Commission to utilize.” AIM’s unlawful conduct under the Shipping Act also violated the terms of the LOI. The LOI, a critical cargo document in the industry, and Priva’s claims are inherently related and intertwined, making the LOI relevant here.

The Harmonized Code is the coding provisions of the Harmonized System. RPFF 42. The Harmonized System is the Harmonized Tariff Schedule of the United States, published by the U.S. International Trade Commission, and Schedule B, administered by the U.S. Census Bureau. RPFF 43. Mr. Hudson testified that the so-called “HS Codes” were a “designation of material” used when shipping materials. RPFF 44. The HS Codes assign specific numeric codes for metals described as “aluminum alloys” (HS Code: 7601.20) and those described as “aluminum waste or scrap” (HS Code 7602). RPFF 45. When determining the appropriate cargo description and correlating HS Code for its shipments, AIM would primarily defer to the request of its customers and then its own assessment that the request “fell within the category.” RPFF 46. It was AIM’s policy to have its operations personnel independently assess a customer’s request for a certain cargo description and HS Code when declaring cargo and do a visual inspection of the cargo. RPFF 47. For booking number NAM6677014, however, AIM disregarded its own policy and relied solely on the representations of its customer, Rising Streams, to AIM’s sales team when selecting the cargo description (“aluminum alloy”) and HS Code (7601.20) for the shipment. RPFF 48. AIM’s sale team did not have any training on the HS Codes. RPFF 48.

The importance of accurately declaring cargo on an ocean bill of lading is further underscored by the fact that the NAM6677014 containers have been held by Malaysian Customs authorities since March 31, 2024, due to the discrepancies between the cargo descriptions of the original bill of lading and the one presented by AIM’s consignee Neptune. RPFF 106; *see also* CX 462-463 (Hudson Depo. p. 84:21 – p. 85:16; Mr. Hudson confirming that cargo should be accurately declared so that customs can know which commodity is in a container).

Based on the testimony and evidence discussed above, however, AIM was acutely aware that the cargo descriptions it provided to Priva for booking numbers NAM6677014 and

NAM6677015 were incorrect. Specifically, AIM's own sale contracts and cargo packing lists described the cargo as "ZORBA." RPFF 26-31, 34-35. The "ZORBA" material included aluminum, copper, and/or brass. RPFF 37. The "ZORBA" material was a mixture of individual pieces of these different types of metals and could not be considered an "alloy," as AIM declared, until it was melted together. RPFF 38-40. Despite AIM's knowledge and admission of these facts, it instructed Priva to declare the cargo as "aluminum alloy" with HS Code 4601.20. RPFF 33. AIM did not independently assess the accuracy of the cargo declaration in violation of its own policies and practices. RPFF 46-48. These actions represent precisely the "reckless disregard, plain indifference, or purposeful or obstinate behavior" for the consequences or requirements of the law that section 41102(a) protects against. *Rana*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision), at 13 (citing *Rose Int'l, Inc. v. Overseas Moving Network, Int'l*, FMC Dkt. No. 96-05, 2001 FMC LEXIS 39, at *118, *147 (FMC June 1, 2001); *Max LePack*, 5 F.M.B. 435, 444 (FMB 1958)).

AIM's "knowing and willful" conduct was not limited to its actions prior to and at the time the Malaysian Shipments were initiated. Indeed, AIM's obfuscations continued as this matter unfolded and are relevant here. *See Rana*, FMC Dkt. No. 19-03 (FMC May 25, 2022) at 20 (finding the respondent's argument that "her conduct subsequent to booking Complainant's shipment" failed to recognize that the conduct at issue was whether and how the ocean transportation was obtained without paying the applicable rates and charges.). On April 26, 2024, Priva contacted AIM to determine why the NAM6677014 containers had not been picked up by AIM's consignee Neptune. RPFF 57. AIM did not respond until May 2, 2024, and only after Priva emailed again on May 1, 2024. RPFF 58-59. At that time, AIM reported that its consignee advised the delay was due to a Malaysian Customs hold for inspection. Priva continued its efforts to obtain current

information about the Malaysia Shipments during the months that followed. AIM, however, either did not respond to Priva's emails or provided hollow responses as to the status of the containers, citing the Malaysian Customs hold and pending inspection as the cause of the delay. RPFF 60-95.

As things came to a head in March 2025, AIM still would not provide meaningful information to Priva. RPFF 96-110. It is particularly noteworthy that the NAM6677014 containers were subject to a customs hold by Malaysian Customs authorities beginning on March 31, 2024, when AIM's consignee attempted to retrieve the containers with the altered bill of lading. RPFF 106. This information was confirmed to AIM on March 31, 2025, at the latest when CMA CGM provided it directly to AIM. RPFF 104-106. Moreover, CMA CGM makes clear that the changed invoice originated from the consignee: "*According to our records*, commodity was specified as ALUMINIUM ALLOY in CMA's BL, whereas BL submitted to Customs reads the description as ALUMINIUM SCRAP". CX 124 (emphasis added). CMA CGM's statement shows that it did not have any record of a change made to the bill of lading. The same email also contains an internal CMA CGM email related, which appears to relate to CMA CGM's investigation into the altered bill of lading "incident". CX 125. The internal CMA CGM email cites to bill of lading clause 366 as the basis for the charge and confirms the following explanation as correct: "Please note, as per the below email trail, our BL reads the cargo description as ALUMINIUM ALLOY, whereas consignee's BL reads the description as ALUMINIUM SCRAP." CX 125.

These emails reveal, or at a minimum lead to the reasonable inference, that it was AIM's consignee who changed the bill of lading to correct the inaccurate declaration made by AIM upon the recognition that the cargo was aluminum scrap, not alloy.

AIM's inability to provide relevant, complete, and accurate information to Priva can only be explained by one of two reasons: (1) AIM did not care enough to ask Neptune; or (2) AIM is

aware of the truth and has failed to disclose it to Priva. Mr. Hudson testified that AIM “couldn’t tell you specifically” whether it had ever asked its consignee how the bill of lading was altered. RPFF 112. Even at the time of filing its initial brief, AIM failed to address the issue. Indeed, Mr. Hudson’s Declaration merely represents that “AIM has inquired as to how Booking No. NAM6677014 ended up with two different bills of lading for the shipment” without stating who AIM asked. CX 530 (Hudson Declaration, ¶ 13). Mr. Hudson’s Declaration further states that “neither CMA nor CMA Malaysia have confirmed to AIM how there were two different bills of lading.” CX 530 (Hudson Declaration, ¶ 15).

The conduct exhibited by AIM is the same type of conduct the Commission has found to be “knowing and willful” in violation of § 41102(a). In *Rana*, FMC Dkt. No. 19-03 (FMC May 25, 2022), the respondent misled the complainant by indicating she was diligently working to resolve the issues related to complainant’s shipment. *Id.* at 16. AIM’s conduct in this case mirrors that of the respondent in *Rana*. AIM often did not respond to Priva’s inquiries. When AIM did respond, it provided unresponsive or superficial information, if any, calling into question whether AIM had communicated with its consignee at all. AIM’s responses are also contrary to the undisputed evidence that its consignee attempted to retrieve the containers on March 31, 2024, which resulted in the Malaysia Customs hold. In *Rana*, the Commission found the respondent lacked credibility where her version of the facts did not align with the established facts in evidence. *Id.* at 17. The cadence and content of AIM’s emails, combined with Mr. Hudson’s deposition testimony and declaration, lead to the reasonable conclusion that AIM’s failure to provide information is the result of active concealment. AIM’s conduct was “knowing and willful” in violation of section 41102(a). *In re: Rubin, Rubin & Rubin Coup.*, 6 F.M.B. 235, 239 (FMB 1961) (“A persistent failure to inform one’s self by means of normal business resources might mean a

shipper or forwarder was acting knowingly and willfully. Indifference on the part of the shippers is tantamount to outright and active violation and diligent inquiry must be exercised by shippers and by forwarders.”).

Most recently, in this case, AIM was provided with clear notice that the cargo within the Malaysia Shipments was “found to be non-compliant with the Basel Convention” as explained in CMA CGM’s November 17, 2025, email to Priva. RX 40. This email serves as overt notice of the non-compliant and incorrectly declared cargo, but AIM still refuses to accept these facts.

2. AIM’s False Classification and Unjust and Unfair Means and Devices

The second element of a section 41102(a) claim is satisfied by showing the respondent used a false cargo classification or any other “unjust or unfair device or means.” *Rana*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision), at 14. This element is met on two, independent grounds: (1) AIM’s direct “false classification” of the Malaysia Shipments; and (2) AIM use of unjust and unfair devices and means to obtain the ocean transportation.

a. AIM Directly and Falsely Classified the Malaysia Shipments

AIM’s cargo misdeclaration falls squarely within section 41102(a)’s prohibitions and satisfies this second element. *OC Int’l Freight, Inc.*; *OMJ Int’l Freight, Inc.*; and *Omar Collado*, FMC Dkt. No. 12-01 (FMC July 31, 2014) (Memorandum Opinion and Order) at 9 (stating that, “In order to prove a violation of section 10(a)(1) [complainant] must show that Respondents:...(2) acted either directly through the actions enumerated in the statute *or* through any other unjust or unfair device or means...” (emphasis added)). As discussed above, AIM misrepresented the nature of the cargo as “alloy” despite knowing that material was “ZORBA” – a mixture of aluminum, copper, and/or brass pieces. Accordingly, this element is satisfied on its face by AIM’s direct action in violation of the “false classification” prohibition in section 41102(a).

b. AIM Used Unjust and Unfair Devices and Means

In addition to the false classification of the cargo, AIM used unjust and unfair devices and means to obtain ocean transportation. In *Muhammad Rana v. Michelle Franklin, D.B.A. “The Right Move”*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision), the Commission found that “[k]nowingly making claims that one knows or should know are false supplies the required element of fraud or concealment” to establish the “unjust and unfair” element of a § 41102(a) claim. *Rana*, FMC Dkt. No. 19-03 (FMC May 25, 2022) at 14. AIM’s conduct both before and after the bookings of the Malaysia Shipments were confirmed satisfy the “unjust and unfair” element of § 41102(a). As discussed in section IV.B.1., *supra*, the evidence shows AIM knew the true nature of the cargo and knowingly declared it incorrectly prior to and at the time the bookings were requested. Or, at a minimum, the facts show that AIM failed to exercise reasonable care and due diligence to verify the nature of the cargo but failed to do so.

AIM’s actions after the Malaysia Shipments arrived in Port Klang West also constitute unjust and unfair devices and means. As the shipper in relation to Priva, AIM had a duty to gather and provide information to Priva concerning the Malaysia Shipments. In their numerous email exchanges AIM represented to Priva that the cause of the delay in picking up the Malaysia Shipments was due to customs-related backlogs and related issues. *See* RPF 57-95. But the undisputed facts show that the reason the NAM6677014 containers could not be picked up was due to the presentation of an altered bill of lading by AIM’s consignee Neptune on March 31, 2024. AIM never disclosed this information to Priva. Priva only became aware of this information through the reporting of CMA CGM.

Regardless of AIM’s claimed ignorance of the reasons why, how, or by whom the bill of lading was altered, it is somewhat inexplicable that AIM did not know this information given its

relationship with its consignee Neptune. If AIM was truly unaware, it could have and should have exercised reasonable care and due diligence to investigate the matter, especially considering the repeated inquiries of Priva. *See In re: Rubin, Rubin & Rubin Coup.*, 6 F.M.B. 235, 239 (FMB 1961) (recognizing a shipper's duty stay informed by means of normal business resources through diligent inquiry).

AIM never did fulfill this duty of reasonable care, even after CMA CGM reported that AIM's consignee had been turned away by Malaysian Customs authorities. The email exchanges between Priva and AIM on April 2, 2025, demonstrate AIM's refusal to investigate what transpired. RPFF 107-111. Instead, AIM concluded that CMA CGM was to blame for the altered bill of lading without any supporting evidence or information. RPFF 107-111. AIM also blamed Priva and accused Priva of lying and harassing AIM's consignees despite Priva's offer to help gather information and work on AIM's behalf to dispute the charges. RPFF 109. Priva's offer to assist AIM and its efforts to investigate the matter were in line with its duties under FMC regulations. 46 C.F.R. § 515.31(f). Finally, AIM has sought to avoid responsibility for its conduct by seeking to have its consignee Neptune made to pay the Misdeclaration Invoice's charges. CPFF 31 (citing CX 130-131). AIM's unsupported assertions, recalcitrant refusal investigate, obstruction of Priva's investigation efforts, finger pointing, and unwillingness to accept responsibility for the charges shows the type of "fraud or concealment" contemplated by § 41102(a)'s "unjust and unfair" element.

3. AIM is Attempting to or has Obtained Transportation Without Paying the Charges Applicable to the Malaysia Shipments

The third and final element is easily satisfied here. The Malaysia Shipments were transported to their port of destination. CMA CGM issued the Misdeclaration Invoice in relation

to the NAM6677014 containers based on its applicable bill of lading clauses. AIM has submitted no evidence to show that CMA CGM wrongfully assessed this charge. AIM has refused to accept responsibility for its actions or pay the applicable charges but still intends to reap the benefits of the containers' transportation to its consignee Neptune. Indeed, AIM represents that its consignees for the Malaysia Shipments "have not abandoned the cargo and continue to work with Malaysia customs to have them released." CX 530 (Hudson Declaration, ¶ 19). This undisputed evidence supports the conclusion that AIM is attempting to or has obtained ocean transportation of the Malaysia Shipments in violation of § 41102(a).

IV. PRIVA'S INJURIES AND ENTITLEMENT TO REPARATIONS

As a small company, the injuries sustained by Priva due to AIM's § 41102(a) violations are profound. Priva has been left "holding the bag" for the \$70,000 owed to CMA CGM because of AIM's unlawful conduct. Priva also incurred significant administrative expenses through its extensive efforts to address the issues caused by AIM both before and after the Misdeclaration Invoice was issued. And it has over \$1 million in charges hanging over its head like the sword of Damocles which Priva will most certainly be responsible for if the Presiding Officer does not issue an order recognizing how the evidence confirms it was wronged by AIM. This order is the only thing that will avoid Priva from financial ruin.⁵

AIM's misdeeds have continued to adversely impact Priva and its business. Most recently, CMA CGM stopped accepting bookings from Priva for shipments to Malaysia due to the cargo misdeclaration. CMA CGM's decision negatively impacts Priva's ability to generate revenue and

⁵ Specifically, Priva remains exposed to potential liabilities, such as demurrage, detention, and other related fees and charges that CMA CGM may assess on the Malaysia Shipments in the future, because of AIM's conduct. To be clear, Priva is not seeking reparations for these potential liabilities. Rather, Priva raises these issues at this time to underscore the extent of AIM's harm and that this case has implications for Priva that may outlive its adjudication.

its standing in the shipping industry. These injuries are directly related AIM's illegal conduct and are compensable under the Shipping Act.

The Shipping Act requires the Commission to direct the payment of reparations to a complainant for actual injury caused by a respondent's violations. 46 U.S.C. § 41305(b). Actual injury includes the loss of interest at commercial rates compounded from the date of injury. 46 U.S.C. § 41305(a). The "goal of awarding damages is to make the injured party whole," and, as such, the "proper measure of damages is not reduced to one simple formula, but must be evaluated on the individual facts of the case and calculated in order to make the injured party whole." *Yakov Kobel v. Hapag-Lloyd A.G.*, FMC Dkt. No. 10-06, 2014 WL 25316331, at *14 (FMC July 20, 2014). In *MAVL Capital Inc. v. Marine Transp. Logistics, Inc.*, FMC Dkt. No. 16-16, (ALJ Sept. 29, 2021) (Initial Decision on Remand) (Affirmed June 10, 2022), Chief Judge Wirth observed that Commission precedent did not require precision when quantifying damages. *Id.* at 31-32 (citing *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-799 (ALJ Nov. 23, 1992) (Admin. final 1992)). Instead, damages should be calculated and awarded based on:

a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

Id. at 32 (quoting *Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, FMC Dkt. No. 81-57, 26 S.R.R. 788, 798-799 (ALJ Nov. 23, 1992) (Admin. final 1992)).

CMA CGM has confirmed that the Misdeclaration Invoice remains valid and the \$70,000 charge therein owed by Priva. RPFF 117. AIM is liable to Priva for these charges because they were directly caused by AIM's § 41102(a) violations. 46 U.S.C. § 41305(b). AIM has not identified

any evidence controverting the validity of the Misdeclaration Invoice. Rather, AIM acknowledges the validity of the charges in its proposed findings of fact and Mr. Hudson's Declaration. Therein, AIM implicitly admits that the Misdeclaration Invoice should be cancelled only "if" CMA CGM mistakenly issued the two inconsistent bills of lading. CPFF 31; CX 530 (Hudson Declaration ¶ 20). Given the absence of any evidence supporting this tenuous argument, AIM should not be allowed to escape making payment on the charges owed.

Similarly, the administrative expenses incurred by Priva are the direct result of AIM's § 41102(a) violations. *See Way Interglobal Network, LLC v. Shenzhen Uniflex SCM Ltd.*, FMC Docket No. 22-28, 2023 WL 130654 at *4 (FMC Jan. 4, 2023) (denying motion to dismiss because, *inter alia*, internal time and financial consequences from adverse impacts to supplier relationships damage is plausible so as to establish standing, but not proven). In *Rana*, the Commission affirmed the ALJ's award of reparations that were the direct result of Respondent's failures to pay the charges due and subsequently concealing information and misstating facts. *Muhammad Rana v. Michelle Franklin, D.B.A. "The Right Move"*, FMC Dkt. No. 19-03 (FMC May 25, 2022) (Order Affirming Initial Decision), at 28, 31. The same result is warranted here. Ms. Dutta testified that the \$30,000 administrative charge in the Priva Invoice was based on her own calculation of the "significant hours, manpower, resources...for administration, for operations, for accounting, managerial hours, executive hours, to deal with this fallout [from the NAM6677014 shipment]." RPFF 113-114. The fee also accounted for the unnecessary work Priva performed, including management, oversight, communications, and phone calls, during the nearly one-year period before the Misdeclaration Invoice was issued that was caused by AIM's actions. RPFF 114. On June 26, 2025, after AIM still refused to accept responsibility for the Misdeclaration Invoice, Priva informed AIM that it would begin assessing an administrative fee in the amount of

\$35/day/container for the Malaysia Shipment containers. RPFF 118. Like the administrative charge in the Priva Invoice, the \$35 fee is based on Priva's ongoing expenditure of internal manhours and operating expenses for the continued communications, management, and oversight directly related to the Malaysia Shipment containers. RPFF 119. As of June 2, 2026, 337 days have elapsed since June 30, 2025, resulting in a total amount of \$235,900 owed to Priva for the 20 Malaysia Shipment containers. RPFF 120.

AIM will argue that Priva's administrative charges are inaccurate on the grounds that they were not grounded in some sort of defined rate sheet or fee schedule. Priva's tabulation of these charges, however, is based on the informed considerations of Priva's owner, Priyanka Dutta, and the resources expended in relation to AIM's misconduct. RPFF 113-120; RX 1-4 (Dutta Declaration). As the owner and operator of Priva, Ms. Dutta was in the best position to determine the economic impact of AIM's Shipping Act violations on her company. Moreover, it would not be appropriate to base Priva's damages off a rate sheet or schedule because any such predetermined, fixed amount would fail to accurately account for Priva's injuries. AIM has admitted that it has no idea or information about how much time and resources Priva expended in its efforts to address the issues related to the Malaysia Shipments. RPFF 129. For these same reasons, an argument that Priva's administrative expenses are improper because they were not previously disclosed to AIM falls flat. Priva's administrative expenses represent its actual injuries resulting from AIM's unlawful conduct, which could not have been disclosed before the Malaysia Shipments. As Ms. Dutta explained in her deposition:

...in 2024 when I issued the bookings, AIM did not tell me they would misdeclare the cargo. But they did. And we had to spend extensive time in order to deal with it, and we are still dealing with it. It's continuous work for Priva and Priva's employees. So these charges are from that. There is no clock sheet. But you can see the amount of extensive hours that's been sent in. Because we didn't know we would have to deal with this back in 2024.

CX 371 (Dutta Depo. p. 94:6-15). Moreover, AIM had notice that it would be liable for these damages by virtue of the LOI which it entered into in 2021. RPFF 2-25.

AIM has also indicated it will argue that Priva's administrative fees also improperly include Priva's time and resources associated with participating in this case, such as Ms. Dutta's deposition. AIM will attempt to support this argument with Ms. Dutta's deposition testimony wherein she responded to calculated questioning in an adversarial setting. AIM's argument, however, is completely undermined by the temporal sequence of Priva's assessment of these charges. The \$30,000 fee was assessed in March 2025 shortly after the CMA CGM Misdeclaration Invoice. On June 26, 2025, prior to the institution of this lawsuit, Priva provided notice to AIM that it would be instituting the \$35/day/container fee. Based on their timing, these administrative fees could not have included Priva's time associated with participating in this case.

Priva's lost business, revenues, and reputational harms are also compensable under the facts presented because they were directly caused by AIM's 41102(a) violations. In *Bernard & Weldcraft Welding Equipment v. Supertrans International, Inc.*, FMC Dkt. No. 02-12, (ALJ Jan. 8, 2003) (Initial Decision), Admin. final Feb. 12, 2003, the Presiding Officer found that claimants are "entitled to recover the lost benefits of their contracts from wrongdoers who interfere with plaintiffs' contractual rights." *Id.* at 21. The recent notice and damaging determination by CMA CGM to no longer accept Priva's bookings for Malaysian shipments falls squarely within the principle identified in *Bernard*. Indeed, the misdeclaration on Priva's account is the very basis for CMA CGM's decision. RPFF 124-128. The effects of Priva's inability to access the U.S.-Malaysia trade are two-fold. First, Priva's capabilities to offer NVOCC services to its customers are now limited. Second, and relatedly, Priva's reputation within the industry has and will continue to suffer. Reparations in an amount congruent with these injuries are warranted here.

Priva has met its burden of proof to substantiate its damages. The FMC has recognized that when a party meets its prima facie burden, it is incumbent upon the opposing party to produce countervailing evidence to discredit or rebut the claimant's evidence. *Brooke Gibson v. Formula Global Mobility*, FMC Dkt. No. 2030(I), (SCO Mar. 27, 2026) (Initial Decision), Admin. final Apr. 28, 2026, at 9. Here, AIM has failed to produce any evidence to counter Priva's evidence and Priva's request for reparations should be granted.

V. CONCLUSION

AIM's unjust and unfair conduct has directly caused actual injury to Priva. The undisputed facts show that AIM's conduct throughout this entire series of events violated § 41102(a). The evidence also indicates that this dispute has far reaching implications for Priva. Indeed, the viability of Priva's business and reputation are at stake. The very purpose of the Shipping Act, and in particular § 41102(a), is to protect all stakeholders within the shipping industry from unjust and unfair conduct. Accordingly, the FMC should observe the mandates of the Shipping Act in this case, protect Priva's rights, and make Priva whole for its injuries by awarding reparations and attorney fees.

PRIVA LOGISTICS, INC.’S BRIEF IN OPPOSITION
TO THE INITIAL BRIEF OF AMERICAN IRON & METAL COMPANY, INC.

I. INTRODUCTION⁶

AIM asserts that Priva violated 46 U.S.C. § 41102(c) by withholding the release of bills of lading for shipments bound for Italy and India “to extract payment for disputed amounts on different shipments and by imposing undisclosed, arbitrary charges.” AIM Brief at 1. To succeed in its claim, AIM must satisfy five essential elements. The emptiness of AIM’s claims is made apparent when evaluated in context with the facts detailed in Priva’s initial brief, above. Priva’s PFF reveal in excruciating detail this is not some dunning matter over unpaid amounts. Priva was wrong and suffered considerably at the hands at AIM, all while it refused to provide a straight answer as to the declaration of goods. AIM’s attempt to characterize this as a cargo hold dispute is untethered to the reality of the facts caused by its unclean hands. In totality, the facts reveal that Priva’s conduct did not run afoul of § 41102(c) and, as such, AIM cannot make the showing required by the statute.

II. PRIVA’S RESPONSES TO AIM’S PROPOSED FINDINGS OF FACT

1. On or about January 26, 2024, AIM entered into a sales contract with GSM Supply Sdn. Bhd. (“GSM”). (CX 1.)

RESPONSE: Admitted.

2. The GSM sales contract (Contract No. 2401-4697) was between GSM and AIM, at AIM’s address located in Montreal. (CX 1.)

RESPONSE: Admitted.

⁶ The facts and issues relevant to the claims asserted by AIM against Priva have their origins in the facts giving rise to Priva’s claims against AIM. Accordingly, Priva incorporates the proposed findings of fact, law, and argument from its initial brief by reference herein.

3. The GSM sales contract described the material as “Zorba 98/3”, with a specification of “98% metallic and 3% reds” and the bill of lading description as “Aluminium Alloys” with an HS Code of 7601.20.0000. (CX 1; CX 528, Hudson Declaration, ¶¶8-10.)

RESPONSE: Admitted.

4. On that same date, AIM entered into a sales contract with Rising Streams Sdn. Bhd. (“Rising Streams”). (CX 2.)

RESPONSE: Admitted.

5. The Rising Streams contract (Contract No. 2401-4697) was between Rising Streams and American Iron & Metal Company, Inc., at AIM’s address located in Montreal. (CX 2.)

RESPONSE: Admitted.

6. The Rising Streams contract described the material sold as “Zorba” with a specification of “98% metallic and 3% reds” and the bill of lading description as “Aluminium Alloys” with an HS Code of 7410.22.0000. (CX 2; CX 528, Hudson Declaration, ¶¶8-10.)

RESPONSE: Admitted.

7. Zorba is shredded aluminum material. (CX 441, Hudson Dep. 56:12-14, 57:11-13; Hudson Declaration, ¶¶8-10.)

RESPONSE: Denied. During the deposition of AIM’s corporate representative, Mark Hudson, he reviewed photographs of the cargo within the containers at issue and testified that the zorba material sold by AIM to GSM and Rising Streams a mixture of separate pieces of aluminum, brass, and/or copper. CX 470-471 (Hudson Depo. pp. 115-119); RX 14-33; CX 471 (Hudson Depo. p. 118:1 – p. 119:5). Mr. Hudson’s declaration also confirms that the zorba material sold was a mixture of aluminum, brass, and/or copper. CX 529 (Hudson Declaration ¶¶ 8-10).

8. In the metal industry, the material is referred to as shredded aluminum scrap and in the recycling industry it is referred to as Zorba. (CX 441, Hudson Dep. 57:3-10.)

RESPONSE: Admitted. Priva notes that this proposed finding of fact supports Priva's position as it confirms zorba is, in fact, "aluminum scrap."

9. AIM's belief and understanding is that the Zorba does not have a commodity code, and the primary difference between Zorba and aluminum alloy is that Zorba is shredded. Zorba is a trade name for shredded aluminum alloy. (CX 441, Hudson Dep. 57:11-13, 58:16-59:6, 144:10-20.)

RESPONSE: Denied. This is not a matter of "belief and understanding." The proposed finding of fact is directly contrary to AIM's proposed finding of fact 8, which states that zorba is "referred to as shredded aluminum scrap in the recycling industry." Mr. Hudson testified that the zorba material sold by AIM was "for remelting, so it would constitute an alloy *when melted*." CX 471 (Hudson Depo. p. 119:12-13). Indeed, "alloy" is defined as "a substance composed of two or more metals or of a metal and a nonmetal intimately united usually by being fused together and dissolving in each other when molten." *Alloy*, merriam-webster.com, <https://www.merriam-webster.com/dictionary/alloy> (last visited May 26, 2026). Mr. Hudson also testified that the zorba material consisted of separate pieces of aluminum, brass, and/or copper. CX 470-471 (Hudson Depo. pp. 115-119); RX 14-33; CX 471 (Hudson Depo. p. 118:1 – p. 119:5); CX 477-478 (Hudson Depo. P. 144:22 – p. 145:9). Mr. Hudson's declaration also confirms that the zorba material sold was a mixture of aluminum, brass, and/or copper. CX 529 (Hudson Declaration ¶¶ 8-10).

10. None of the sales contracts involved American Iron & Metal USA, Inc., which is a separate company that is incorporated under the laws of the State of Delaware. (CX 254, Certificate

of Good Standing for American Iron & Metal USA, Inc.; CX 255, Certificate of Compliance for American Iron & Metal Company, Inc.)

RESPONSE: Denied, except to the extent this proposed finding of fact stands for the proposition that “American Iron & Metal USA, Inc.” is not listed on the sales contracts at issue. All other allegations are denied because the evidence shows that AIM and AIM USA were functionally and factually indistinguishable. *See* RPF 2-25 and evidence cited therein: RX 13; RX 42-44; CX 458-59 (Hudson Depo. p. 68:12 – p. 69:5); CX 459 (Hudson Depo. p. 69:2-5); CX 459 (Hudson Depo. p. 70:5-19); CX 460 (Hudson Depo. p. 73:21-22); CX 448 (Hudson Depo. p. 28:9-12); CX 449 (Hudson Depo. p. 31:6-9); RX 45-68; CX 6 (signature block of Melinda Walker, employee of AIM Recycling); CX 470 (Hudson Depo. p. 113:22 – p. 115:5); CX 5-6; CX 16-17; CX 18-20; CX 450 (Hudson Depo. p. 33:1-7); CX 451 (Hudson Depo. p. 38:12-16); CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21); RX 1-4; CX 387 (Dutta Depo. p. 158:6 – p. 160:20); CX 388 (Dutta Depo. p. 162:8-21).

11. On January 26, 2024, AIM engaged Priva to make transportation arrangements for materials AIM had sold from Los Angeles, California to Port Klang, Malaysia. (CX 5-6.)

RESPONSE: Admitted.

12. Booking No. NAM6677014 involved the following containers:

TCNU8723172
TLLU4958565
TLLU7703589
CAIU9547562
TCLU5076331
TCKU6276933

TCLU6545752
TXGU7135808
TCLU6575850
GESU6936352

(CX 35–36.)

RESPONSE: Admitted.

13. Booking No. NAM6677015 involved the following containers:

CAIU9361290
CMAU4582250
TRHU4708682
CMAU7608208
TLLU7691615
FCIU9356055
SEGU6310888
TCLU1547201
SEGU4623630
SEGU5022634

(CX 31-32.)

RESPONSE: Admitted.

14. On January 29, 2024, Priva provided AIM with the booking confirmations for the Malaysia Shipments. (CX 4; CX 7-12.)

RESPONSE: Admitted.

15. The booking confirmations contain the information Priva provides to CMA regarding the shipment such as weight, commodity description, and origin/destination of the cargo, which CMA used to generate the freight rate associated with the ocean transportation of the Malaysia Shipments. (CX 347, Priyanka Dutta Deposition, 149:4-150:6, 150:18-152:9.)

RESPONSE: Admitted.

16. For both Malaysia Shipments, the booking confirmation described the commodity as follows:

HS Commodity: Waste and scrap, of aluminium Container Grade: Scrap

BOC Commodity: Waste and scrap, of aluminium (excl. slags, scale

(CX 7; CX 10.)

RESPONSE: Admitted. Responding further, Priva submits that this proposed finding of fact is a distraction from the true issues in this case because the bill of lading is the governing document, not the booking confirmation. Accordingly, this proposed finding of fact has no bearing on the issues presented and has no evidentiary value.

17. As Priva conceded, these descriptions were disclosed to CMA at the time of booking:

Q. And then if we look at the HS commodity for the booking confirmation, it says Waste and scrap, of aluminum?

A. Right.

Q. And then the BOC Commodity, Waste and scrap, of aluminum?

A. Okay.

Q. Right? So this was information that was provided to CMA, and then CMA generated the booking confirmation identifying the commodity?

A. Yes.

Q. Okay. And so I mean that was disclosed to CMA at the time of booking, that there would be aluminum waste, aluminum scrap?

A. Yeah, I guess so. Because metal scrap falls under one contract.

Q. And that's used to determine the rate for transportation?

A. Yes, exempt contract, correct.

...

Q. Same information [for the Second Malaysia Shipment] -- same response, if I go through the same list of questions. You have the waste and scrap of aluminum here that was disclosed to CMA?

A. Okay, yes, exempt.

Q. Okay. And likewise used for the rate, correct?

A. Correct.

(CX 347, Priyanka Dep., 150:18-152:9.)

RESPONSE: Admitted. Responding further, Priva submits that this proposed finding of fact is a distraction from the true issues in this case because the bill of lading is the governing document, not the booking confirmation. Accordingly, this proposed finding of fact has no bearing on the issues presented and has no evidentiary value.

18. On February 13, 2024, AIM emailed the consignee draft bill of lading instructions, and it asked the consignee to reconfirm if the HS code should be “7602.00/7601.20, or 7410”, clarifying that “Aluminum should be 7602 or 7601” as “7410 is for Copper, not Aluminum.” (CX 13.)

RESPONSE: Admitted.

19. In response, the consignee instructed AIM to change the description to “7601.2 Aluminium Alloy.” (CX 13.)

RESPONSE: Admitted.

20. In turn, AIM instructed Priva to change the commodity code from 7401.22.0000 to 7601.20. However, the description of the commodity only changed from “Aluminium Alloys” to “Aluminium Alloy.” (CX 16-20.)

RESPONSE: Admitted.

21. On or about February 23, 2024, CMA issued bills of lading for the Malaysia Shipments, which contained the description of the cargo as “Aluminium Alloys” or “Aluminium Alloy” and both using a commodity code of 7602.20. (CX 31-38.)

RESPONSE: Admitted.

22. Over one year later, CMA issued a misdeclaration invoice on February 24, 2025, in the amount of \$70,000.00 for Booking No. NAM6677014 for an alleged “Misdeclaration.” (CX 54.)

RESPONSE: Admitted.

23. Even though both Malaysia Shipments contained the same commodity description and code, CMA never issued a misdeclaration invoice for the other Malaysia Shipment, Booking No. NAM6677015. (CX 347, Dutta Dep. 62:3-9.)

RESPONSE: Admitted.

24. The invoice provided that “[t]o the best of our knowledge, you serve as the ultimate recipient of the cargo, which is the reasons you’re receiving this invoice.” (CX 54.)

RESPONSE: Admitted.

25. This is directly contrary to the bills of lading, which clearly describe Priva as the shipper or exporter c/o American Iron & Metal Company Inc. and GSM or Neptune Trading as the consignee and notify parties. (CX 31, CX 35.)

RESPONSE: Priva admits that the bill of lading numbers NAM6677014 and NAM6677015 list “Priva Logistics Inc C/O American Iron & Metal Company Inc.” as the shipper. Priva also admits GSM is listed as the consignee and notify party on bill of lading number NAM6677015 and that bill of lading number NAM6677014 lists Neptune as the consignee and notify party.

Priva denies that the issuance of the Misdeclaration Invoice to Priva was “contrary to the bills of lading.” As Ms. Dutta explained in her deposition, Priva was the shipper of record who contracted with CMA CGM for the Malaysia Shipments on AIM’s behalf. As such, Priva is also responsible to CMA CGM for any charges related to the shipments. CX 365-367 (Dutta Depo. p. 72:7 – p. 78:16).

26. Despite this clear inconsistency, it appears Priva never challenged the invoice on this basis or sought to correct the invoice on this basis. (CX 347, Dutta Dep. 71:11-77:6.)

RESPONSE: Denied. Ms. Dutta’s testimony on this issue was that she did not know if she raised this specific issue with CMA CGM because this particular language on the Misdeclaration Invoice (referenced in CPFF 24) was “just a disclaimer that they probably have on all invoice.” CX 366-367 (Dutta Depo. p. 73:3-4, p. 76:15 – p. 77:6). The broader exchange on this topic during Ms. Dutta’s deposition sheds further light on why the Misdeclaration Invoice was issued to Priva. CX 365-367 (Dutta Depo. p. 72:7 – p. 78:16). Therein, Ms. Dutta explains that CMA CGM could not locate the consignee. Accordingly, because Priva is the shipper of record who contracted with CMA CGM for the Malaysia Shipments on AIM’s behalf, it is also responsible to CMA CGM for any charges related to the shipments.

27. Nearly a month later, Priva invoiced the misdeclaration charge to AIM along with a \$30,000 “Misdeclaration Penalty” with the description “NVOCC Penalty & Handling Fees for Misdeclaration.” (CX 55.)

RESPONSE: Admitted.

28. Both Priva and AIM disputed the misdeclaration charge with CMA. (CX 59-66; CX 128-136.)

RESPONSE: Admitted. Responding further, CMA CGM investigated and denied the disputes. CX 124-126.

29. In follow up conversations, CMA Malaysia indicated that Malaysian customs had held Booking No. NAM6677014 because the consignee’s bill of lading contained a different description, adding “Aluminium Scrap” to the description of goods in addition to “Aluminium Alloy” description. (CX 56-58.)

RESPONSE: Admitted. Responding further, although this email provides the basis of Malaysian Customs’ cargo – the discrepancy between the bills of lading – that is not the relevant inquiry here. Rather, the relevant inquiry is why the alteration was made and by whom? Priva did not. AIM asserts it did not. In the email at issue, however, CMA CGM Malaysia explains that Malaysian Customs “is holding consignee cargo which *they have declared correctly*”. CX 56 (emphasis added). This email leads to two conclusions: (1) that AIM’s consignee changed the bill of lading; and (2) that AIM’s consignee believed that “Aluminum Scrap” was the correct cargo description and it was necessary to make the change.

A March 31, 2025 email from CMA CGM’s “Dispute Analyst” to AIM and Priva states: “*According to our records*, commodity was specified as ALUMINIUM ALLOY in CMA’s BL, whereas BL submitted to Customs reads the description as ALUMINIUM SCRAP”. CX 124

(emphasis added). CMA CGM's statement shows that it did not have any record of a change made to the bill of lading. The same email also contains an internal CMA CGM email related, which appears related to CMA CGM's investigation into the altered bill of lading "incident". CX 125. The internal CMA CGM email cites to bill of lading clause 366 as the basis for the charge and confirms the following explanation as correct: "Please note, as per the below email trail, our BL reads the cargo description as ALUMINIUM ALLOY, whereas consignee's BL reads the description as ALUMINIUM SCRAP." CX 125.

These emails show that it was AIM's consignee who changed the bill of lading to correct the inaccurate declaration made by AIM upon the recognition that the cargo was aluminum scrap, not alloy.

30. AIM subsequently followed up with CMA asking for a clarification as to who provided the altered bill of lading - whether it was issued by CMA Malaysia, or if CMA was alleging that the consignee altered the copy. CMA never provided this information. (CX 122.)

RESPONSE: Admitted to the extent that this proposed finding of fact states that "AIM subsequently followed up with CMA asking for a clarification as to who provided the altered bill of lading - whether it was issued by CMA Malaysia, or if CMA was alleging that the consignee altered the copy." Denied to the extent that this proposed finding of fact states that "CMA never provided this information." On the contrary, CMA CGM explained several times that AIM's consignee Neptune provided the bill of lading that had been altered. *See* Response to CPFF 29; CX 56-58; CX 124-126. AIM's dissatisfaction with CMA CGM's explanations does not mean that CMA CGM never provided the information.

31. AIM requested that CMA bill the consignee if CMA's position is that the consignee improperly altered the bill of lading at destination, but if CMA/CMA Malaysia mistakenly issued two bills of lading, the charge should be removed. (CX 130-131.)

RESPONSE: Denied. The referenced email does not contain any request by AIM to CMA CGM to bill the consignee. *See* CX 130-131. In a separate email, however, AIM states that "If the consignee indeed faked the BL, we will take immediate action to rectify this with them." CX 132. AIM never took this action. The referenced email also does not show that AIM requested that the charge be removed if CMA/CMA Malaysia mistakenly issued two bills of lading. Rather, the email shows that AIM asked the following question on the issue: "Will CMA NA remove this invoice if CMA CGM Malaysia confirms they issued consignee BL with error: 2 different HS code?" CX 130. Indeed, this proposed finding of fact is based on the unsupported assumption that CMA/CMA Malaysia mistakenly issued a second bill of lading.

32. AIM also asked CMA whether AIM's payment of the invoice under protest would result in the containers being released or if there were further requirements to resolve the matter. (CX 132.)

RESPONSE: Admitted. Responding further, Priva submits that AIM's *question* does not constitute an offer, much less an attempt, to make payment on the Misdeclaration Invoice.

33. To date, CMA and CMA Malaysia never confirmed to AIM how there were two different bills of lading, addressed payment of the charge or whether payment would facilitate release. (CX 528, Hudson Declaration, ¶ 15.)

RESPONSE: Denied to the extent this proposed finding of fact states that "To date, CMA and CMA Malaysia never confirmed to AIM how there were two different bills of lading." CMA CGM explained several times that AIM's consignee Neptune provided the bill of lading that had been

altered. *See* Response to CPFF 29; CX 56-58; CX 124-126. Moreover, this statement assumes, without any support, that CMA CGM had additional information and did not provide it. Subject to the foregoing denial, admitted. Priva submits, however, that payment of CMA CGM's Misdeclaration Invoice is a separate issue than that of obtaining a cargo release from Malaysian Customs. CMA CGM would not have had any control over the cargo hold decisions of Malaysian Customs. As such, the suggestion that paying the Misdeclaration Invoice under protest had any impact on resolving the customs issue should carry little to no weight.

34. Likewise, Priva does not know how the consignee ended up with a bill of lading containing different descriptions than the origin bill of lading. (CX 347, Dutta Dep. 84:3-85:19.)

RESPONSE: Admitted. Responding further, Priva cannot state that it “knows” with certainty because AIM has not produced any information from or communications with its consignee Neptune concerning how the bill of lading was altered. That said, CMA CGM has explained what happened.

35. Prior to the Malaysia Shipments, AIM had never had issues shipping aluminum products to Malaysia. (CX 441, Hudson Dep. 56:3-11.)

RESPONSE: Admitted.

36. On April 7, 2025, Priva issued a Security Deposit Demand Agreement requesting that AIM make a \$250,000 payment for any charges related to the Malaysia Shipments and requiring AIM to accept all potential liability for the Malaysia Shipments. (CX 138-139.)

RESPONSE: Admitted. Responding further, AIM's proposed finding of fact mischaracterizes the plain terms of this document and the context within which it was sent. A fair reading of the document reveals that the Security Deposit Demand Agreement was a proposed mechanism to resolve the dispute over the Malaysia Shipments, protect Priva from uncertain potential financial

liabilities caused by AIM's Shipping Act violations, and allow both Priva and AIM to continue their business relationship without interruption. Indeed, the Agreement shows Priva's efforts to resolve the dispute over the Malaysia Shipments with AIM in a manner that protected their business relationship.

37. On April 11, 2025, the receiver of the Malaysia Shipments informed AIM, CMA and Priva, that they "want to deal with [the container issue] ASAP, but unfortunately, I haven't received information from Malaysia customs, we have to wait." (CX 334.)

RESPONSE: Denied. This PFF states that it is evidence of an email from "the receiver of the Malaysia Shipments," but it does not state which of the two shipments or their respective recipients it is referring to. A review of the broader email chain at issue shows that the "receiver" AIM's proposed finding of fact is referring to is GSM, who was the receiver of the shipment made under NAM6677015. CX 332 (email sender stating that "GSM is currently in the negotiation."); CX 31 (NAM6677015 bill of lading showing GSM as consignee). The identity of the consignee sending these emails is important because the Misdeclaration Invoice was issued in relation to booking number NAM6677014, for which Neptune was the consignee. This email has little evidentiary value, As such, to avoid confusion of the facts and issues, this PFF is denied.

38. As recently as February 25, 2026, AIM informed CMA and CMA Malaysia that the consignee is "actively working on these containers and are **not abandoning them**" and "CMA POD @mys.service@cma-cgm.com continue contacting GSM/Qixin directly to resolve this matter." (CX 328; see also CX 332, advising on February 25, 2026, that the consignee is currently in negotiations with customs.)

RESPONSE: Denied. Like PFF 37, AIM uses a vague term – "consignee" – to describe who is involved in this email communication. These emails concern GSM, the consignee for booking

number NAM6677015. The identity of the consignee sending these emails is important because the Misdeclaration Invoice was issued in relation to booking number NAM6677014, not NAM6677015. To avoid confusion of the facts and issues, this PFF is denied.

39. According to the consignee, the “[p]roblem is that they don’t have any progress . . . [The situation is the same with many other Zorba containers that [are] stuck at Klang port. [The] Malaysia government is not taking any measures to solve the problem, no releasing, no auction, and no rejection.” (CX 325.)

RESPONSE: Denied. As in PFF 37 and 38, AIM uses a vague term – “consignee” – to describe who is involved in this email communication. These emails concern GSM, the consignee for booking number NAM6677015. The identity of the consignee sending these emails is important because the Misdeclaration Invoice was issued in relation to booking number NAM6677014, not NAM6677015. Additionally, the email cited involves a completely different shipment (NAM9409814) than those involved in this lawsuit. *See* CX 325-327. This proposed finding of fact is potentially misleading. To avoid confusion of the facts and issues, this PFF is denied.

40. Separately, AIM engaged Priva to make transportation arrangements for two separate shipments, one bound for Italy under Booking No. NAM7478044 (the “Italy Shipment”) and one bound for India under Booking No. 28435995 (the “India Shipment”). (CX 347, Dutta Dep. 103:8-104:13.)

RESPONSE: Admitted. Responding further, Priva refers the Presiding Officer to the email found at CX 190-192. This email contains the shipping instructions provided by AIM to Priva for the Italy Shipment (NAM7478044) to generate the bill of lading. CX 190-192. The email is dated February 7, 2025, prior to the issuance of the CMA CGM Misdeclaration Invoice and, thus, before AIM’s Shipping Act violations were discovered.

Notably, the cargo description on AIM's instructions for the Italy Shipment read "ALUMINUM SCRAP" and the HS Code requested is "7602.0000." CX 192; *see also* RX 112-114 (booking confirmation for NAM7478044, declaring cargo as aluminum scrap). The same is true for the bill of lading generated for the India Shipment. RX 115. During his deposition, Mr. Hudson testified that AIM was not aware that aluminum scrap and aluminum alloy have different HS Codes and that AIM does not ship aluminum scrap:

Q. Do you know if there is a different HS code for aluminum alloy and aluminum scrap?

A. Well, I wasn't aware that it was specifically a different HS code for aluminum alloy and aluminum scrap, but we're not shipping aluminum scrap, we're shipping aluminum alloy.

CX 457 (Hudson Depo. p. 64:15-20). Mr. Hudson's testimony that AIM does not ship aluminum scrap directly contradicts AIM's own actions in shipping aluminum scrap to Italy under booking NAM7478044. Mr. Hudson's testimony that AIM was not aware of the distinct HS Codes for aluminum scrap and aluminum alloy shows the willful, wanton, and reckless disregard and indifference AIM has for its duties to properly declare cargo and further supports the finding that AIM violated § 41102(a).

41. Booking No. NAM7478044 involved the following containers:

APHU6970786
BMOU4238030
SEGU4946037
TCLU1850080
TEMU6320687

(CX 201-202; CX 528, Hudson Declaration, ¶ 6.)

RESPONSE: Admitted.

42. Priva made the necessary arrangements, but when AIM requested release of the Italy Shipment, Priva responded that AIM's account was on "administrative hold due to unresolved financial matters related to previous shipments, including declared penalties, abandonment liabilities, and required security deposits," and refused to release the shipments until AIM complied with the Security Deposit Demand Agreement. (CX 162; See generally, CX 174-192.)

RESPONSE: Denied. This PFF cites isolated emails seemingly suited to AIM's purposes and fails to include relevant facts and consider the totality of the circumstances. When all of the facts presented are considered together in context, the evidence shows that AIM was the party who refused to take responsibility for its own violations of the Shipping Act and Priva was taking reasonable, and indeed necessary, steps to ensure the continuity of its business relationship with AIM, protect itself from sustaining additional harms at the hands of AIM. As stated in response to CPFF 36, a fair reading of the Agreement in context reveals these facts. Moreover, Priva's conduct was consistent with the mandates of 46 C.F.R. § 515.31(f), which require an OTI to "decline to participate in any transaction" where it has "reason to believe that its principal or shipper has not, with respect to a shipment to be handled by such OTI, complied with the laws of the United States, or has made any error or misrepresentation in, or omission from, any export declaration, bill of lading, affidavit, or other document...until the matter is properly and lawfully resolved." 46 C.F.R. § 515.31(f); *see also* RPFF 1-129.

43. AIM clarified that it had paid the freight, even providing proof of payment, and repeatedly asked for the shipment's release, but Priva refused to release it. (CX 174-192.)

RESPONSE: Denied. This PFF cites isolated emails seemingly suited to AIM's purposes and fails to include relevant facts and consider the totality of the circumstances. When all of the facts

presented at consider together in context, the evidence shows that AIM was the party who refused to take responsibility for its own violations of the Shipping Act and Priva was taking reasonable, and indeed necessary, steps to ensure the continuity of its business relationship with AIM, protect itself from sustaining additional harms at the hands of AIM. Contrary to the aspersions in this PFF, Priva's conduct was reasonable, justified, and consistent with the mandates of 46 C.F.R. § 515.31(f), which require an OTI to "decline to participate in any transaction" where it has "reason to believe that its principal or shipper has not, with respect to a shipment to be handled by such OTI, complied with the laws of the United States, or has made any error or misrepresentation in, or omission from, any export declaration, bill of lading, affidavit, or other document...until the matter is properly and lawfully resolved." 46 C.F.R. § 515.31(f); *see also* RPFF 1-129.

44. As Priva subsequently admitted in this matter, AIM made all necessary payments related to the Italy and India Shipments, but Priva still refused to release those shipments until AIM made payment for charges related to the Malaysia Shipment. (CX 347, Dutta Dep. 104:14-105:15; CX 269-270, Priva response to Request for Admission No. 1.)

RESPONSE: Priva admits that AIM paid the freight charges owed for the Italy and India Shipments. All other statements in this PFF are denied as they improperly fail to include relevant facts and consider the totality of the circumstances. When all of the facts presented at consider together in context, the evidence shows that AIM was the party who refused to take responsibility for its own violations of the Shipping Act and Priva was taking reasonable, and indeed necessary, steps to ensure the continuity of its business relationship with AIM, protect itself from sustaining additional harms at the hands of AIM. Contrary to the aspersions in this PFF, Priva's conduct was reasonable, justified, and consistent with the mandates of 46 C.F.R. § 515.31(f), which require an OTI to "decline to participate in any transaction" where it has "reason to believe that its principal

or shipper has not, with respect to a shipment to be handled by such OTI, complied with the laws of the United States, or has made any error or misrepresentation in, or omission from, any export declaration, bill of lading, affidavit, or other document...until the matter is properly and lawfully resolved.” 46 C.F.R. § 515.31(f); *see also* RPFF 1-129.

45. According to Priva, it refused to release the cargo based on CMA’s \$70,000 misdeclaration charge and disputes related to the Malaysia Shipments. As Priva put it, AIM “needed to pay up.” (CX 347, Dutta dep. 107:19-108:4.)

RESPONSE: Denied. AIM again presents isolated testimony seemingly suited to its purposes and to be considered in a vacuum to establish evidence of an alleged Shipping Act violation. When all of the facts presented at consider together in context, the evidence shows that AIM was the party who refused to take responsibility for its own violations of the Shipping Act and Priva was taking reasonable, and indeed necessary, steps to ensure the continuity of its business relationship with AIM, protect itself from sustaining additional harms at the hands of AIM. Contrary to the aspersions in this PFF, Priva’s conduct was reasonable, justified, and consistent with the mandates of 46 C.F.R. § 515.31(f), which require an OTI to “decline to participate in any transaction” where it has “reason to believe that its principal or shipper has not, with respect to a shipment to be handled by such OTI, complied with the laws of the United States, or has made any error or misrepresentation in, or omission from, any export declaration, bill of lading, affidavit, or other document...until the matter is properly and lawfully resolved.” 46 C.F.R. § 515.31(f); *see also*, RPFF 1-129.

46. Priva was clear that its issues with the Malaysia Shipment are not related to the rates or transportation charges and are solely related to the misdeclaration charge and alleged abandonment:

Q. . . .With the Malaysia shipments, this is a dispute over a misdeclaration charge, this isn't the rate dispute that you had just referenced, correct?

A. This is totally misdeclaration and abandonment, yes.

Q. So this isn't a question of whether or not AIM paid the wrong rate, high or low, for the transportation of the Malaysia containers, it's a question of who is responsible for that misdeclaration charge that you're asserting in this lawsuit, you being Priva, correct?

A. So yeah, this is -- they cleared the freight to us, it's not the freight. It is their, you know, unresolved liabilities from misdeclaration and abandonment. Yes.

(CX 347, Dutta Dep. 51:19-52:13.)

RESPONSE: Denied. This PFF is carefully crafted in an attempt to draw a distinction between “rates or transportation charges” and the “misdeclaration charge” at issue. Presumably, AIM intends to argue that the Misdeclaration Invoice is not a charge associated with the “ocean transportation” of the Malaysia Shipments for purposes of Priva’s § 41102(a) claim. The Commission has stated that § 41102(a) applies to both rates and charges, such as late fees, demurrage, and other comparable charges. *Samsung Electronics America, Inc. v. Orient Overseas Container Line Limited and OOCL (Europe) Limited v. Samsung Electronics Company, Ltd.*, FMC Dkt. No. 24-17 (FMC July 30, 2025) (Order Affirming Dismissal of Counterclaim) at 19. Here, the Misdeclaration Invoice is well within the purview of the statute because it involves the source documents of the ocean transportation itself – the bill of lading – and the conduct giving rise to the misdeclaration charge (“false classification”) is explicitly listed as one of the prohibited acts in the statute. 46 U.S.C. § 41102(a).

47. At the time AIM booked the shipments with Priva, Priva did not disclose that it would refuse to release those shipments based on disputes related to the Malaysia Shipments. (CX 273, Priva response to Request for Admission No. 12.)

RESPONSE: Admitted. Responding further, this PFF is logically flawed because it assumes Priva knew or could have known that AIM would violate the Shipping Act by misdeclaring the Malaysian Shipments, fail to provide or otherwise conceal information about the Malaysia Shipments, and then leave Priva liable for the Misdeclaration Invoice owed to CMA CGM. In addition to being required by law, AIM knew of its duty to properly declare cargo when it entered into the LOI and received the booking confirmations and bills of lading for the Malaysia Shipments. RX 13; CX 4; CX 7-12; CX 31-38. It was not possible for Priva to have known in advance that AIM would fail in this duty.

48. According to Priva, it will hold all shipments if any balance is owed beyond thirty (30) days even if the shipments are unrelated. (CX 347, Dutta Dep. 108:20-109:20.)

RESPONSE: Denied. The testimony at issue describes Priva's commercial agreement with its customers and does not stand for the proposition that Priva had a practice of holding shipments.

49. On April 14, 2025, prior counsel for AIM contacted Priva concerning its improper commercial hold, but Priva maintained its refusal to release the containers. The demand identified eight shipments Priva was improperly holding covering twelve containers. (CX 168.)

RESPONSE: Denied. This PFF misrepresents the substance of the letter at issue, which clearly states: "We have been informed that Priva *intends* to hold existing shipments of AIM that are en route until AIM pays the money that it is demanding." CX 168 (emphasis added). Accordingly, this letter does not support the PFF. Instead, the letter confirms that the shipments were still in

transit and not yet being held by Priva of April 14, 2025. CX 169 (“*In the event* that Priva does hold these containers...”) (emphasis added). This letter does not support the statement that “Priva maintained its refusal to release the containers.” The letter does not state that Priva was holding any shipments. Rather, the letter from AIM’s attorney contemplates a scenario where Priva does hold containers. To the extent this PFF contends there were other shipments listed in this letter, such information is irrelevant to AIM’s claims and inadmissible.

50. At the time, Priva was refusing to release several other shipments, but did ultimately release those shipments. (CX 347, Dutta Dep. 105:19-106:10; CX 169; CX 528, Hudson Declaration ¶¶ 22-23.)

RESPONSE: Denied. The deposition testimony referenced in this PFF does not state that Priva was refusing to release other shipments. Rather, Ms. Dutta’s testimony states that AIM had other shipments on the water with overdue freight, but that Priva released those containers in April to AIM despite the overdue charges. CX 374 (Dutta Depo. p. 105:23 – p. 106:1). The letter cited (CX 169) similarly does not state what is represented in this PFF as explained in Priva’s response to CPFF 49. The shipments referenced in Paragraphs 22-23 of Mr. Hudson’s Declaration are not at issue here. AIM’s Complaint makes no reference to any of these shipments. Therefore, evidence related to these shipments is improper, irrelevant, immaterial, unreliable, has no probative value, and is inadmissible. 46 C.F.R. § 502.204. In the event Mr. Hudson’s Declaration is considered by the Presiding Officer, the statements lack support in the record and are self-serving. If these statements have any probative value at all, they support the conclusion that Priva did not violate the Shipping Act because they confirm that Priva released the containers to AIM.

51. On June 10, 2025, AIM notified CMA that the freight charges were paid in full, but Priva was refusing to release the sea waybills. It also notified CMA that because the vessel’s

ETA was June 14, 2025, further delay would result in charges at destination including detention and demurrage charges. (CX 175.)

RESPONSE: Priva admits only that “AIM notified CMA that the freight charges were paid in full”. CX 175. The second proposed fact is denied because the email states that “any further delay is unacceptable and may result in: - Additional charges at destination, including but not limited to detention and demurrage.” CX 175.

Responding further, Priva notes that this email was sent on June 10, 2025. CX 175. According to the email, the vessel was due to arrive on June 14, 2025. Priva could not have held the bills of lading because the shipment had not even arrived at the port of destination.

52. Less than thirty minutes later, Priva responded by instructing CMA not to release the containers due to the commercial dispute related to the Malaysia Shipments. (CX 174.)

RESPONSE: Admitted.

53. Apparently, Priva had previously notified CMA not to release the containers or communicate with CMA. CMA responded that AIM had sought assistance from CMA but “[AIM] will be informed that as [it] is not a party to the BL, all communication will need to be through PRIVA LOGISTICS.” (CX 172, June 9, 2025, email chain.)

RESPONSE: Admitted.

54. Priva’s owner, Priyanka Dutta, thanked CMA and reiterated that the Italy Shipment will “remain on hold because we have to collect payment from them.” (CX 172.)

RESPONSE: Denied. The referenced email is not authored by Ms. Dutta. In any event, the referenced email shows the level of distress Priva was in over AIM’s refusal to make payment on the Misdeclaration Invoice, which represents a significant financial burden for a small NVOCC like Priva. RX 1-4.

55. Ms. Dutta continued to refuse to release the containers in subsequent communications demanded that CMA not act on any emails from Priva unless they come from her personally. (CX 208, June 17th email, **“Yes, please continue to hold the release of the containers.”** (emphasis in the original); CX 208, June 20th email, **“Please do not act on any emails from any member of the Priva Logistics Team regarding this shipment.** The hold may only be lifted by written instruction **from me personally, on this same email chain.”** (emphasis in the original); see generally, CX 204-216.)

RESPONSE: Admitted.

56. On June 19, 2025, counsel for AIM again requested that Priva release the containers notifying Priva that AIM was willing to transfer the \$70,000 under protest in exchange for Priva releasing the containers. Otherwise, AIM would have no other recourse but to pursue its claims through the Federal Maritime Commission. (CX 198.)

RESPONSE: Denied. The cited demand letter has no offer to transfer \$70,000 under protest.

57. Rather than release the containers, Priva notified AIM of “Effective Measures Commencing June 30.” These measures included applying the following terms to the shipments starting on June 30, 2025:

- a. “\$35 per container per day will be billed as an administrative charge.”
- b. “1.5 percent monthly interest (18 percent APR) will be applied to all unpaid balances”
- c. “Containers that remain on hold due to AIM's continued inaction as well as 20 previously abandoned units, will continue to accrue demurrage, detention and associated charges from the carriers. Priva will forward itemized billing to AIM upon receipt, along with applicable administrative costs.”

(CX 200.)

RESPONSE: Denied. The document cited is settlement communications and is inadmissible under 46 C.F.R. § 502.75(c) and Priva objects to its use. As explained in Ms. Dutta’s deposition, this was an attempt to resolve this dispute, and she included a representative of CADRS on this communication because she had been working with that individual to resolve this dispute. CX (Dutta Depo. p. 163:3 – p. 164:22).

58. Priva’s demands for a \$250,000 deposit, \$35.00 per day per container “administrative charge,” 1.5% interest and \$30,000 in administrative charges were not based on any fee agreement, fee schedule or tariff. Instead, they were charges Priva asserted for the first time during the time period of March-June of 2025 based on what Priva unilaterally and arbitrarily determined to be reasonable. (CX 528, Hudson Declaration, ¶ 27-28; CX 347, Dutta Dep. 164:23-167:16.)

RESPONSE: Denied. The cited evidence seeks to discuss and interpret and inadmissible settlement communication, which Priva objects to as stated in response to CPFF 57. Pursuant to § 46 C.F.R. § 502.75(c) the settlement communication is strictly inadmissible. As such, the evidence cited by AIM is also inadmissible. Moreover, the basis of Priva’s damages is detailed in its initial brief, *supra*.

59. Regarding its administrative charges of \$30,000, Priva’s owner determined those amounts by looking at the emails exchanges between the parties and estimating the amount she believed Priva should be paid (as opposed to basing the charges on employee rates and hours):

Q. . . . The question is, is there a breakdown of the hours spent and the rate for each employee that was charged to come up with this \$30,000?

A. No. These are collective hours that we all have to spend in order to deal with the fallout from AIM's misdeclaration, and their failure to clear the cargo.

Q. And this was something you based off of, you looked at like the number of emails that went out, and then just did a rough estimate?

A. I just said that. It's internal hours, looking up for the status every single day, which we're still doing on the containers. You know, having the accounting books open, finding the data, digging through the data, responding to AIM, responding to CMA. It's just, you know, taking calls with AIM logistics team, you know, multiple times. I mean all those -- that's all time, something we didn't have to deal with.

Q. Right. And you didn't track that amount --

A. We did not, because we didn't know --

(CX 347, Dutta Dep. 99:4-25.)

RESPONSE: Denied as to AIM's characterization of Priva's testimony (the cited testimony itself is quoted correctly). Priva's calculations of its damages are addressed in its initial brief, *supra*.

60. In fact, Priva administrative charges now included time spent in participating in this proceeding:

Q. Okay, that's -- so basically what you're saying is that extra [\$]52,000 was calculated from when you issued that invoice until September 11th. And you're saying that amount is still increasing as of September 11th?

A. Yeah. And I think I informed you about that in one of my emails, that, you know, this is taking significant time, your client is not paying up. And I'm going to give you \$35 per container. I think I informed you. You and I had a chat before I traveled.

Q. There's an email communication that I'll bring up in a second. But I guess that the question is, so like you sitting

here today and preparing for your deposition, that's like time and effort that would be calculated into this cost, correct?

...

A. 110 percent. The costs have been accounted for.

...

Q. And that's in relation to the time and effort spent on this lawsuit, correct?

A. 110 percent.

(CX 347, Dutta Dep., 155:12-156:5; 169:11-13.)

RESPONSE: Denied. Priva incorporates its same response to CPFF 59.

61. On or around July 22, 2025, after AIM initiated litigation, Priva release the Italy and India Shipments upon advice of its counsel. (CX 347, Dutta Dep. 146:19-147:19.)

RESPONSE: Priva admits that it released the Italy and India Shipments to AIM on or about July 22, 2025.

62. Unsurprisingly, the Italy Shipment, which arrived on or around June 14, 2025, had accrued demurrage and detention charges, which needed to be paid before the containers could be retrieved. (CX 201-203; CX 204.)

RESPONSE: It is admitted that CMA CGM issued Invoice ITDIC228826 in the amount of € 10,800.00 for demurrage charges. CX 202-203. The document cited at CX 201 is in a foreign language. Priva is unable to admit this proposed finding of fact because based on this document it is not discernable who Fritelli Maritime Group is or any basis or details concerning the purported charges. Accordingly, it does not comply with 46 C.F.R. § 502.7 and should not be considered.

63. CMA and Fritelli Maritime Group, which appears to be an Italian marine terminal operator, assessed demurrage and detention charges totaling € 18,902.00. (CX 201-CX 203.)

RESPONSE: It is admitted that CMA CGM issued Invoice ITDIC228826 in the amount of € 10,800.00 for demurrage charges. CX 202-203. The document cited at CX 201 is in a foreign language. Priva is unable to admit this proposed finding of fact because based on this document it is not discernable who Fritelli Maritime Group is or any basis or details concerning the purported charges within its purported invoice. Accordingly, it does not comply with 46 C.F.R. § 502.7 and should not be considered.

64. AIM provided its customer with a credit note to offset the charges resulting in a cost to AIM in the amount of \$22,104.00 USD. (CX 240; CX 252-253; CX 528 Hudson Declaration, ¶ 24-26.)

RESPONSE: It is admitted that AIM issued a credit note to its customer in the amount of \$22,104.00 USD. It is not discernable what the basis of the charges are within the purported invoice from FMG (CX 201) because it is in a foreign language and should not be considered as noncompliant with 46 C.F.R. § 502.7.

65. Priva's policy and practice with respect to credit customers, is to hold their bills of lading from release if any amount is past due regardless of which shipment has or has not been paid ("And anytime there is outstanding past 30 days, the releases will be held, regardless of whether which BL is paid for, or which BL is not paid for."). (CX 347, Dutta Dep. 106:13-107:18.)

RESPONSE: Denied. This is a legal conclusion, not a finding of fact.

66. According to Priva, it has engaged in this practice for over four years. (CX 347, Dutta Dep. 45:13-24, 46:3-22, 104:14-105:1, 108:24-109:22.)

RESPONSE: Denied. This is a legal conclusion, not a finding of fact.

III. LAW AND ARGUMENT

AIM alleges one count in its instant petition. It asserts that Priva violated § 41102(c)⁷ by withholding the release of the bills of lading for the Italy and India Shipments “to extort payment on unrelated shipments.” Section 41102(c) provides that an ocean transportation intermediary “may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). Relevant here, for AIM to prove a violation of § 41102(c), it is required to show: (1) the claimed acts were occurring on a normal, customary, and continuous basis; (2) the practice or regulation related to or was connected with the receiving, handling, storing, or delivering property; (3) the practice or regulation was unjust or unreasonable; and (4) the practice or regulation was the proximate cause of the claimed loss. 46 C.F.R. § 545.4. AIM attempts to meet its burden in a breezy review of the factors and supporting facts (AIM Brief at pp. 18-22). It fails.

According to AIM, this case is the result of Priva’s stubbornness over nominal amount. But that could not be further from the truth. This is not a simple cargo hold case over money. On both a personal and a systemic level, this is a case about right versus wrong. For Priva, this case is about its reputation and its ability to continue serving clients as a reliable, trusted, and honest participant in the ocean transportation community. For industry stakeholders like Priva, this case represents the bellwether against which future unjustified conduct will be measured. Priva has made the decision to fight the unsupported allegations against it – at great costs and expense – for this very reason. In this case, Priva withheld the Italy Shipment because AIM was acting unlawfully, by means of fraud and concealment in violation of § 41102(a), and to avoid

⁷ At the Prehearing Conference, AIM was instructed to amend its complaint to include all of the facts and legal basis for the various claims it was asserting at that time. AIM did not file an amended complaint and in its initial brief AIM only raises its § 41102(c) claim. As such, AIM has waived all other claims alleged in its complaint and those raised in the joint prehearing statement.

responsibility for the amounts undisputedly owed. AIM now asks the Presiding Officer to endorse its unlawful conduct by condemning Priva's actions of self-defense. Neither the spirit nor the letter of Shipping Act supports such a result.

A. Priva's Acts Did Not Occur on a Normal, Customary, or Continuous Basis

AIM argues that Priva's conduct was normal, customary, and continuous because it "held several other shipments, including the India Shipment." AIM Brief at 18. Out of these "several other shipments" AIM has only put the India Shipment at issue in its Complaint. Therefore, any purported evidence related to these shipments is neither before the Presiding Officer nor admissible. Further, as AIM admits, Priva released all of these shipments before any charges accrued and AIM has no damages in relation to them. CX 463 (Hudson Depo. p. 88:3-20). Accordingly, by its own admission, the only claims that asserted by AIM where it can conceivably meet its burden of proof under § 41102(c) are those related to the Italy Shipment.

AIM also contends that Priva had a practice of instituting commercial holds on its customers' accounts, like AIM, thus satisfying its burden under §41102(c)'s first element. However, to violate § 41102(c), a practice "must be normal, customary, often repeated, systematic, uniform, habitual, and continuous manner in which the regulated common carrier was conducting business." Final Rule, Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478 (Fed. Mar. Comm'n Dec. 17, 2018) (discussing the interpretive rule provision promulgated at 46 C.F.R. 545.4(b)). Here, the testimony of both parties reveals that there was no conduct on Priva's behalf that could be described as any of these terms. Mr. Hudson was asked if the Italy Shipment was "the only time that Priva allegedly held a shipment and storage fees or D&D fee were incurred by AIM?" Mr. Hudson replied, "As far as I am aware." CX 468 (p. 108:7-11). Similarly, Ms. Dutta testified that in Priva has withheld the release of one shipment because another shipment was not

paid for only “a couple of times.” CX 649 (Dutta Depo. p. 109:24 – p. 110:3). Based on this undisputed testimony, there were two instances, at most, where Priva withheld AIM’s containers for failing to make payment on its credit account. The facts presented simply do not support a finding that Priva engaged in the type of systemic, habitual, customary, often repeated, or continuous conduct that § 41102(c) seeks to address.

B. Priva’s Conduct Was In Relation To AIM’s Unlawful Conduct

AIM’s cursorily asserts that “Priva’s practice is directly related to and connected with the receiving, handling, storage and delivering of property.” AIM again skews the facts to suit its purposes. A fair reading of the facts reveals that Priva’s actions were in direct reaction to AIM’s unlawful conduct – not in connection with AIM’s shipments. Indeed, Priva’s actions were at all times consistent with its duties under such circumstances pursuant to FMC regulation. *See* 46 C.F.R. § 515.31(f). AIM fails to satisfy this element.

C. Priva’s Conduct Was Just and Reasonable

AIM seeks to bifurcate the facts and circumstances surrounding the Italy Shipment from those related to the Malaysia Shipments. Doing so, however, would ignore the Commission’s call to evaluate conduct in the totality of the circumstances.

“Reasonable” may mean or imply “just, proper,” “ordinary or usual,” “not immoderate or excessive,” “equitable” or “fit and appropriate to the end in view.” BLACK’S LAW DICTIONARY, 4th Ed.; *Investigation of Free Time Practices--Port of San Diego*, 9 F.M.C. 525, 547 (FMC 1966). When assessing the reasonableness of a carrier practice the analysis does not turn on the lawfulness of the practice but instead on whether the practice is “tailored to meet its intended purpose,” *Distrib. Servs. Ltd. v. Trans-Pac. Freight Conf. of Japan & Its Member Lines*,

24 S.R.R. 714, 1988 WL 340659, at *7 (FMC Jan 6, 1988) and whether it is “fit and appropriate to the end in view,” *Port of San Diego*, 9 F.M.C. at 547.

AIM argues that Priva’s conduct is “one of the more egregious examples of holding freight hostage to extort additional payments” and that the “charge remains disputed.” AIM Brief at 19. It is evident AIM has not carefully studied FMC jurisprudence on cargo holds as this is a wildly gross misstatement when juxtaposed with Priva’s actions here. AIM’s *ipse dixit* should be rejected. Moreover, CMA CGM has made clear on multiple occasions that the Misdeclaration Invoice remains valid and the amounts owed due. CX 124-126; CX 131; RX 34-41. There is no question that the charge is no longer disputable and simply because AIM is in denial that it is responsible for paying it. For this reason, the FMC authority relied on by AIM does is inapplicable because those cases contemplate the existence of a *genuine dispute*. See *Petra Pet, Inc. v. Panda Logistics Ltd., et al.*, FMC Dkt. No. 11-14 (ALJ Aug. 14, 2012) (Initial Decision), at 21, Affirmed Oct. 31, 2013 (discussing cases involving the “existence of a dispute between an NVOCC and its agent”; “where the NVOCC held up cargo seeking *additional payments*”). Indeed, *Petra Pet* involved an “**innocent shipper**” and the Initial Decision goes to great lengths to emphasize that very fact. *Id.* at 26 (emphasis added). In this case, AIM does cannot claim to be innocent, nor is a finding of innocence possible when reviewing Priva’s PFF.

When Priva’s conduct is considered in context, it becomes clear that it was more than justified, not immoderate or excessive, and equitable. Here, Priva was and still is in an untenable position as a result of AIM’s violations. The totality of AIM’s obstinance is addressed in Priva initial brief above, but salient examples include AIM’s negligent classification of the Malaysian Cargo, its overt failures to communicate and obtain truthful and accurate information, and its continued refusal to accept responsibility for the damages caused by its own actions justify and

necessitated Priva's acts of self-defense. For these reasons, Priva's efforts to protect itself were indeed "fit and appropriate to the end in view." *Port of San Diego*, 9 F.M.C. at 547. Notions of fundamental fairness and general equity also lead to the same conclusion. A contrary result would be to authorize with impunity the type of unlawful conduct perpetrated by AIM in future cases.

D. AIM's Claimed Damages and Request for Cease and Desist Order

To recover the damages AIM claims to have sustained it must prove that the practice or regulation was the proximate cause of the claimed loss. 46 C.F.R. § 545.4(e). Under 46 U.S.C. § 41305(b), a complainant is entitled to reparations for "actual injury caused by a violation of this part." 46 U.S.C. § 41305(b). The Commission has held that "proof of injury or damages must rest on reliable evidence that shows that the violation of law was the proximate cause of the damages." *William R. Adair v. Penn-Nordic Lines, Inc.*, FMC Dkt. No. 1695(F), 26 S.R.R. 11, 1991 WL 383091 at *23, (ALJ Sept. 24, 1991).

AIM tellingly fails to meaningfully address the proximate cause requirement in its briefing. The facts presented, however, make plain that AIM's purported damages did not result from Priva's actions. Instead, it should be found that it is reasonably foreseeable that those who egregiously break the law and harm others, like AIM, should not be able to seek recompense from those they have harmed. Indeed, imagine the absurdity of a burglar who stubs his toe while robbing a home, who then sues the homeowner for damages under premises liability. Despite this absurdity, that is what AIM is seeking here.

Further, the extent of AIM's alleged damages strains credulity. AIM asserts that a company called Fritelli Maritime Group "appears to be an Italian marine terminal operator" that assessed demurrage and detention charges. The invoice submitted by AIM in support of this claim is not in English, however, and its contents unknown. CX 201. No certified translation is in the record.

Without the ability to decipher this document, and what it purports to represent, it cannot be considered reliable evidence of any charges AIM claims to have paid in connection with its claim against Priva. 46 C.F.R. § 502.7.

AIM request for a cease and desist order also lacks a basis in fact and law. As explained above, the evidence presented does not show that Priva was engaged in any practice related to withholding cargo. Mr. Hudson testified that the Italy Shipment represented the first and only time that Priva withheld cargo and it resulted in demurrage charges. CX 468 (p. 108:7-11). Ms. Dutta similarly testified that Priva had only held a release based on AIM's failure to remit payment on its account "a couple of times." of one shipment because another shipment was not paid for only "a couple of times." CX 649 (Dutta Depo. p. 109:24 – p. 110:3). Indeed, the facts show that up until the issues with the Malaysia Shipment arose, Priva and AIM enjoyed a consistent business relationship. Even assuming AIM has shown that Priva violated the Shipping Act, which is denied, it has not shown that Priva is "likely to continue or resume" any conduct that would be violative of the Shipping Act. AIM's requested cease and desist order should be denied.

IV. CONCLUSION

Neither the facts nor law support a finding that Priva inflicted any wrongdoing upon AIM. Rather, Priva's conduct was more than justified, reasonable, and understandable. AIM cannot be allowed to use its own unlawful conduct as a sword in pursuit of its unsupported claims against Priva. Allowing AIM to succeed on its claims would only be an injustice to Priva and provide carte blanche to future, similar bad actors.

Dated: June 2, 2026

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail on the following persons/addresses:

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